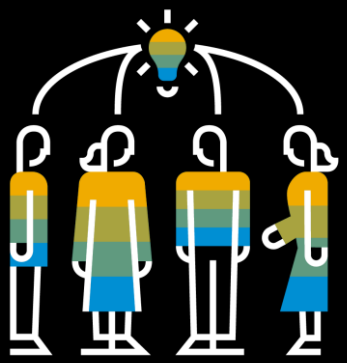
Slide 1

EKT BRIM S/4HANA
Subscription Order Management –
Deep Dive E2E Overview

SAP S/4HANA for billing and revenue innovation management
Subscription Order Management
in S/4HANA for customer management 2.0 (S/4HANA 1809 FSP01)

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Slide 3

Agenda Subscription Order Management

Overview

- E2E Process
- Integration and Component Overview
- Architecture Overview

Master Data

- Business Partner
- Contract Account
- Product
  - Product Architecture
  - Role Product Configuration Modeler
  - Subscription Products
  - Product Bundles

Order and Contract Management

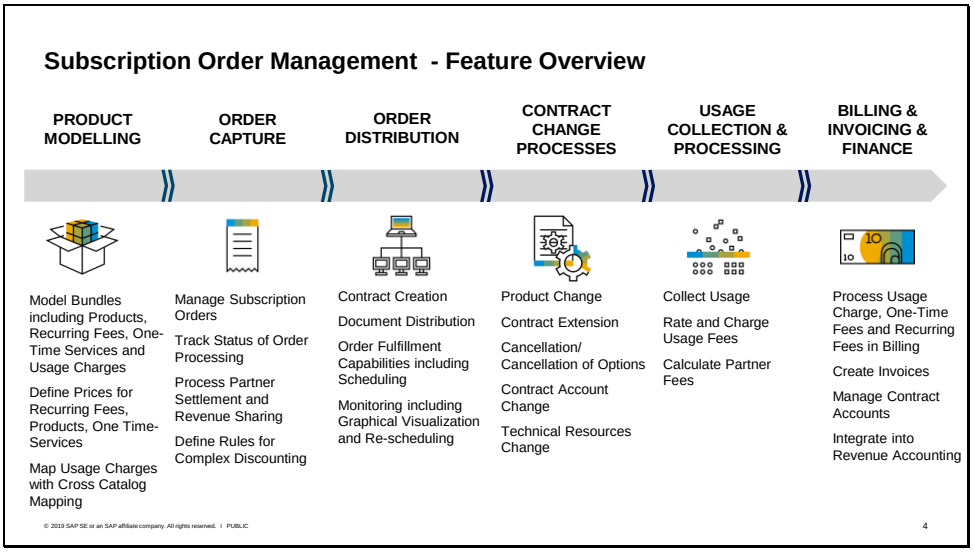
- Subscription Order
- Subscription Contract and Follow Up Processing
- Process Flow
  - Recurring Fees
  - Usage based Fees
  - One-Off Charges
- Bundles in Subscription Orders
- Contract Distribution
- Change Processes

Further Topics

- Discounting
- Partner Settlement
- Revenue Accounting

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Slide 4



Subscription Order Management enables customers to offer their business solutions as a combination of products and subscriptions to services (recurring fees, usage-based charges, and one-off charges), based on consumption pricing model.

Using Subscription Order Management, you can:

Product Modeling
- Model and manage products and product bundles consisting of various combinations of products and subscriptions. You can define products requesting recurring fees, being billed as one-off charges or supporting usage based pricing models together with SAP Convergent Charging
- Prices can be defined dependent on contract runtimes or can even be defined bundle specific.
- Define and redefine mapping and range tables

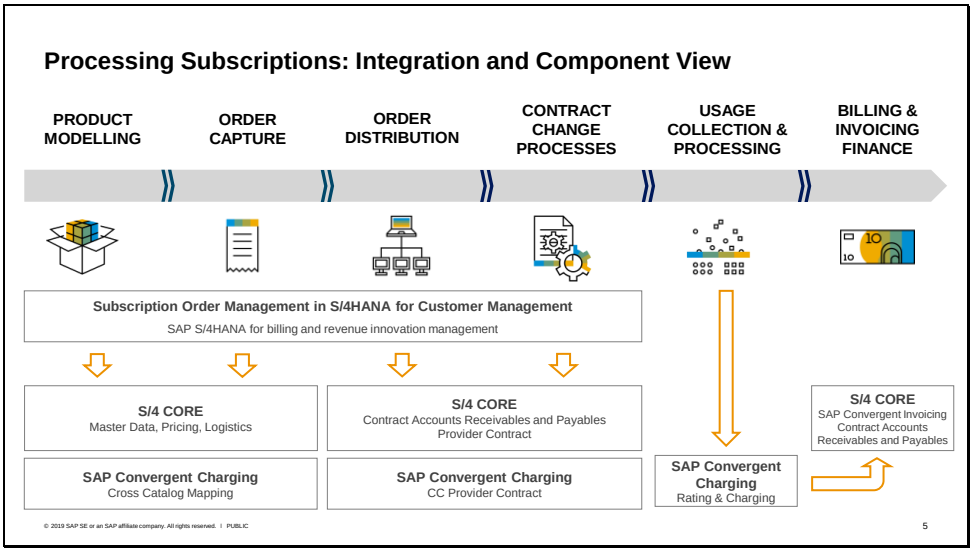
Order Capture
- Manage subscription orders and track status of the orders processing.
- Create subscription contracts as follow up objects of subscription orders
- If you have a business where you share revenue with your partners, you can handle partner agreements where you can manage the conditions that have been negotiated with your partner. Management of partner agreements is very similar to the handling of subscription contracts for end customers.

Order Distribution
- The subscription contract is distributed to FICA and to SAP CC, if the product has assigned cross catalog mapping data.
- Document Distribution is done with ODI, which delivers several features for monitoring and scheduling order and contract distribution

Contract Change processes
- Contract management covers all the relevant change processes for existing contracts.

Usage Processing and Collection & Billing, Invoicing, Finance
Subscription Order Management integrates into SAP Convergent Charging, FI-CA (SAP Contract Accounts Receivable and Payable) and into SAP Convergent Invoicing. Usage Processing, Billing, Invoicing or Accounting are done within these components.

Slide 5



S/4HANA for customer management 2.0 FSP01 is an add-on to S/4HANA 1809. Subscription order management is one of the components of S/4HANA for customer management.
Subscription order management is strongly integrated into S/4 but also into SAP Convergent Charging.

Product Modeling
- Product master data, prices are S/4 master data. Subscription Products in addition can be connected to SAP Convergent Charging using cross catalog mapping.

Order Capture
- Subscription orders support and integration in SD sales order to support logistical processes for physical goods.

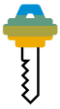
Order Distribution
- During order distribution provider contracts in FI-CA and SAP Convergent Charging are created.

Contract Change processes
- Contract changes update provider contracts in FI-CA and SAP Convergent Charging.

Usage Processing and Collection & Billing, Invoicing, Finance
Usage Processing, Billing, Invoicing or Accounting are done within SAP Convergent Charging and SAP Convergent Invoicing

Slide 6

Additional Facts about Subscription Order Management



Context

- Subscription Order Management is one component in the BRIM (SAP S/4HANA for billing and revenue innovation management) E2E solution

Shipment

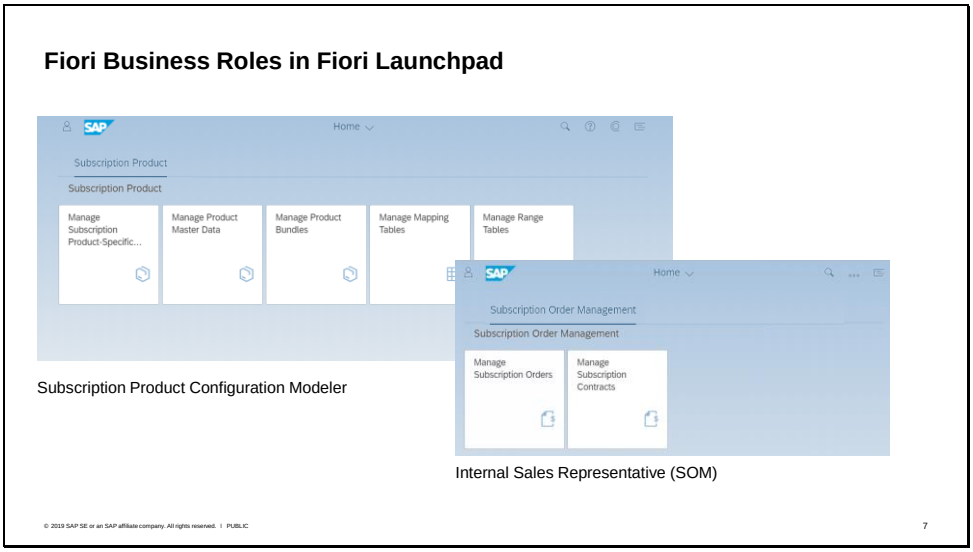
- Subscription Order Management built on premise
- Subscription Order Management is a part of S/4HANA for customer management
- First shipment is with S/4HANA for customer management 2.0 FSP1 which is based on S/4HANA 1809 FSP01

UI

- Subscription Order Management is using Web Client UI but is also integrated in Fiori using Fiori Launchpad
- Subscription Order Management delivers own Fiori Apps

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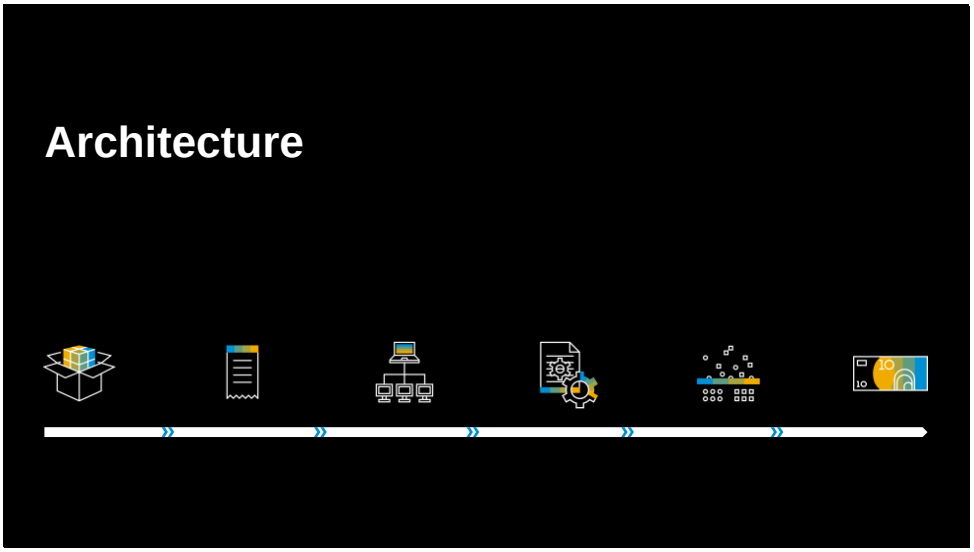


Two new Fiori Business Roles are available:

Subscription Product Configuration Modeler
Fiori Business Roles SAP_BR_PROD_CONF_MODELER_SOM

Internal Sales Representative (SOM)
Fiori Business Roles SAP_BR_INTERNAL_SALES REP_SOM
The internal Sales Rep can access either via Fiori Launchpad or via Web Client UI with role Internal Sales Rep. (Subscr.) S4C_SOM_REP

Slide 8



Slide 9

Simplification in S/4 HANA



Unifying S/4HANA Master Data Objects

- Replacement of Business Agreement by **Contract Account**
- Replacement of CRM Product by S/4 **Product** represented via Material Master + Subscription Product specific enhancements
- Central Price Maintenance with SD **Price Conditions** (for hardware, one-offs and recurring fees)
- “Pay per use” Prices with SAP Convergent Charging
- Introducing **Bundles**



Selecting Most Suitable Processing Object

- **Order and Contract Management** as part of S/4HANA for customer management
- Creation of Follow Up Objects like **Sales Order, One-Off BIT or FI-CA Provider Contract** in S/4 Core



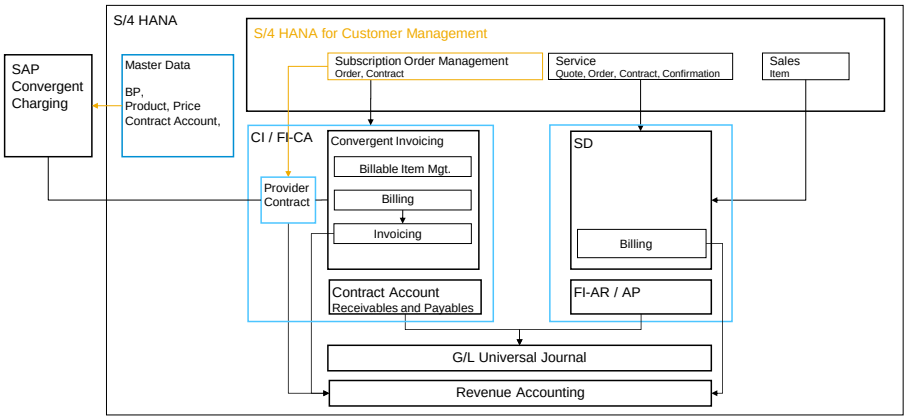
Removing Redundant Engines

- Pricing with **SD Pricing** Engine instead of IPC
- Introducing **BRF+** as rule engine instead of BRF
- Reusing Document Distribution (**ODI**) for Subscription Order and Contract

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Slide 10

High Level Architecture – Component View

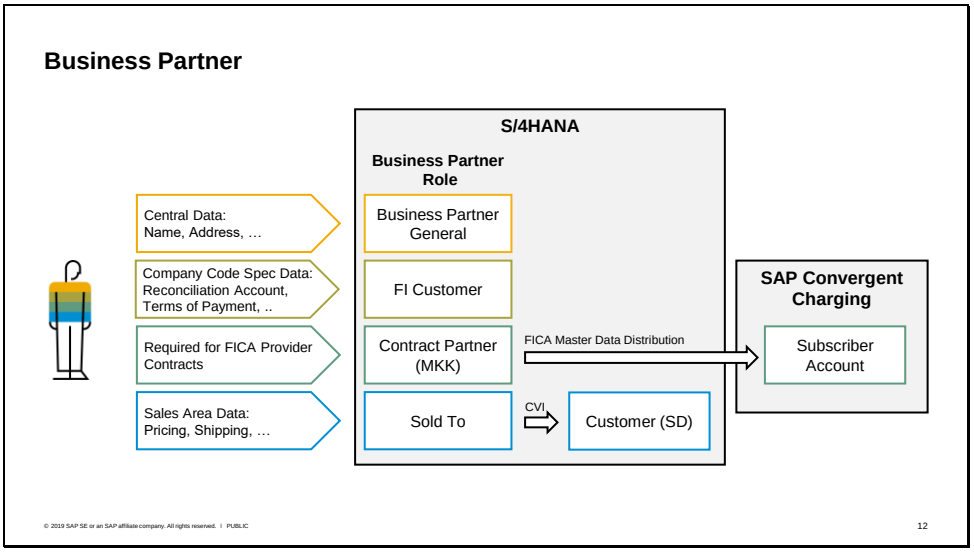


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Slide 12



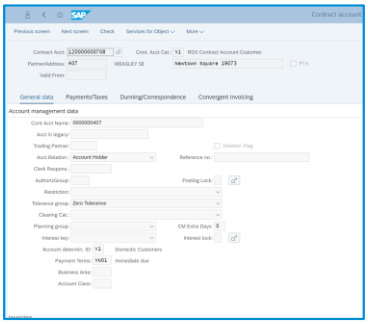
The business partner is created as a central object in S/4 HANA. Depending on the business requirements different roles can be assigned to the business partner.

For subscription order management as a part of SAP Billing and Revenue Innovation Management (BRIM) using provider contracts in Contract Accounts Receivable and Payable (FI-CA), the role MKK is required for the business partner. Business Partners having this role will also be replicated to SAP Convergent Charging as Subscriber Accounts.

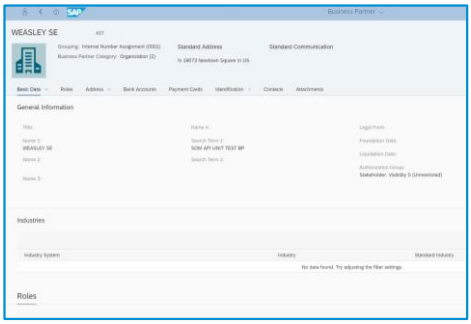
If Processes in SD are involved, the Sold To Role is required. By CVI (customer vendor integration) in S/4HANA the SD customer is automatically created in background.

Slide 13

Maintain Business Partner



Fiori Launchpad -> Business Partner App
Manage Business Partner Master Data

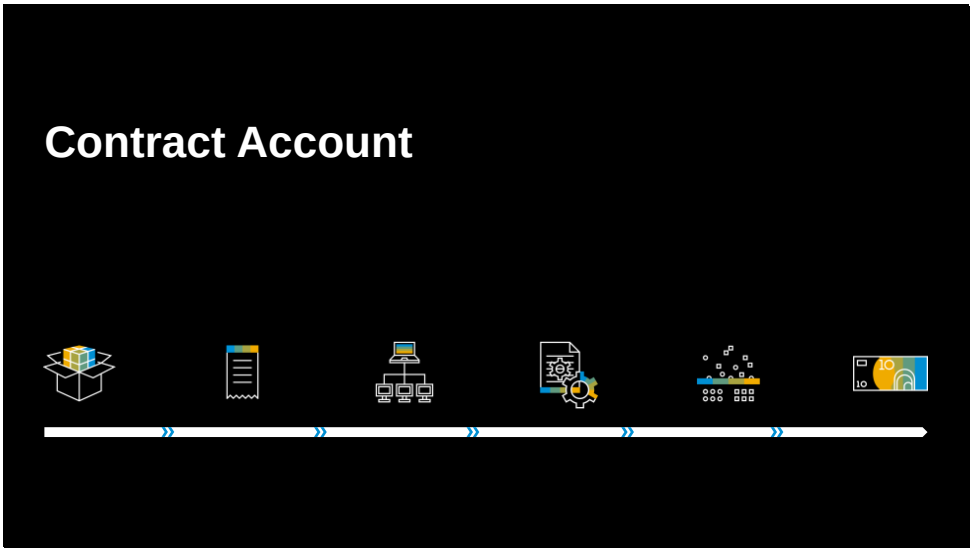


Web Client UI ->
Business Role Internal Sales Rep. (Subscr.) ->
Master Data: Search / Create Corporate / Individual Account

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Web Client UI Business Role: Internal Sales Rep. (Subscr.) S4C_SOM_REP

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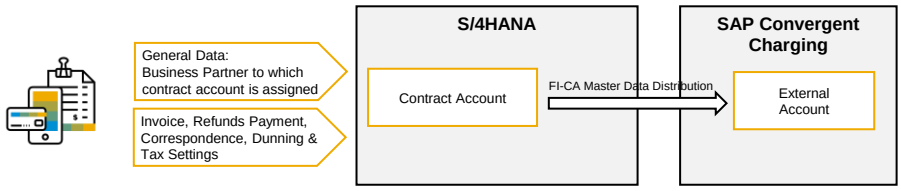
Slide 15

Contract Account

Definition Contract Account

An account in which posting data for contracts or contract items are processed in Contract Accounts Receivable and Payable (FI-CA). In addition you define and maintain master data for Business Partner-specific procedures, such as payment methods, that can be defined and applied during further processing of the postings.

Distribution Contract Account

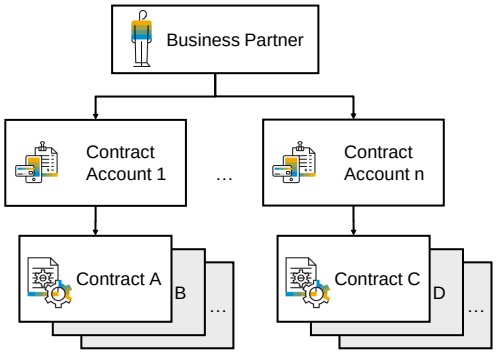


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In S/4HANA only the contract account is used both in FICA and in subscription order management. Business Agreements are no longer required and therefore no longer available.

Slide 16

Relation Business Partner - Contract Account - Contract

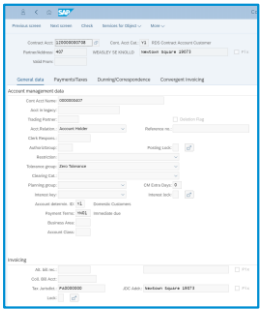


- Multiple Contract Accounts can be assigned to a single Business Partner
- A single contract account can be used in multiple provider contracts

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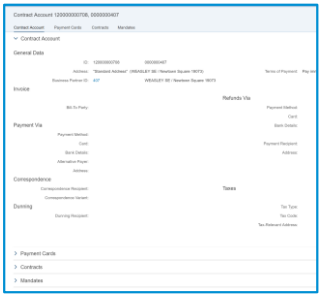
Slide 17

Create Contract Account



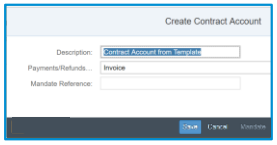
Create a full contract account

Fiori Launchpad ->
FI-CA App Manage Contract Account ->



Create a simple contract account

Web Client UI ->
Business Role Internal Sales Rep. (Subscr.) ->
Master Data -> Search / Create Contract Account



Create a contract account based on a template

Web Client UI ->
Business Role Internal Sales Rep. (Subscr.) ->
Subscriptions -> Create / Maintain Subscription Order

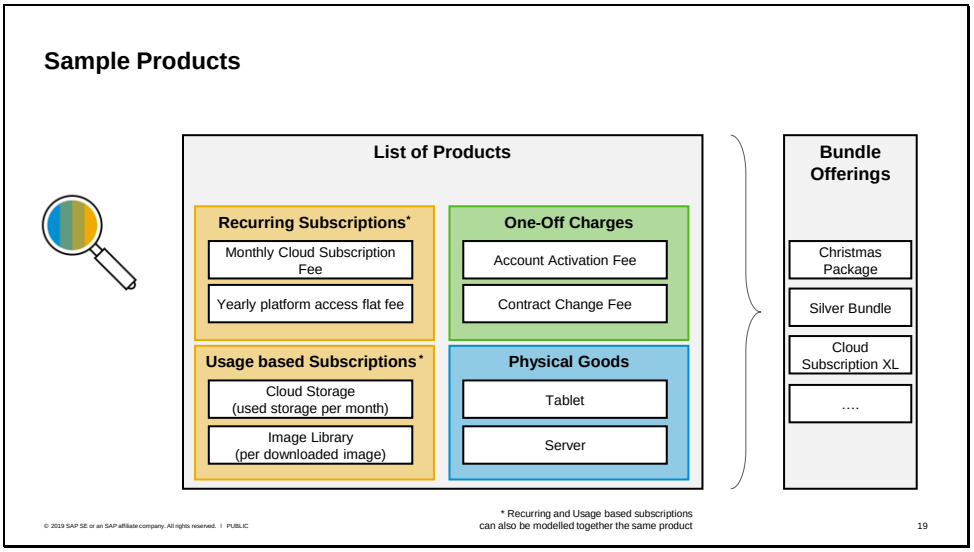
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Web Client UI Business Role: Internal Sales Rep. (Subscr.) S4C_SOM_REP

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Subscription orders support different kind of products

Subscription products
Subscription products can be used to subscribe to a service. Fees and charged can be managed in different ways.

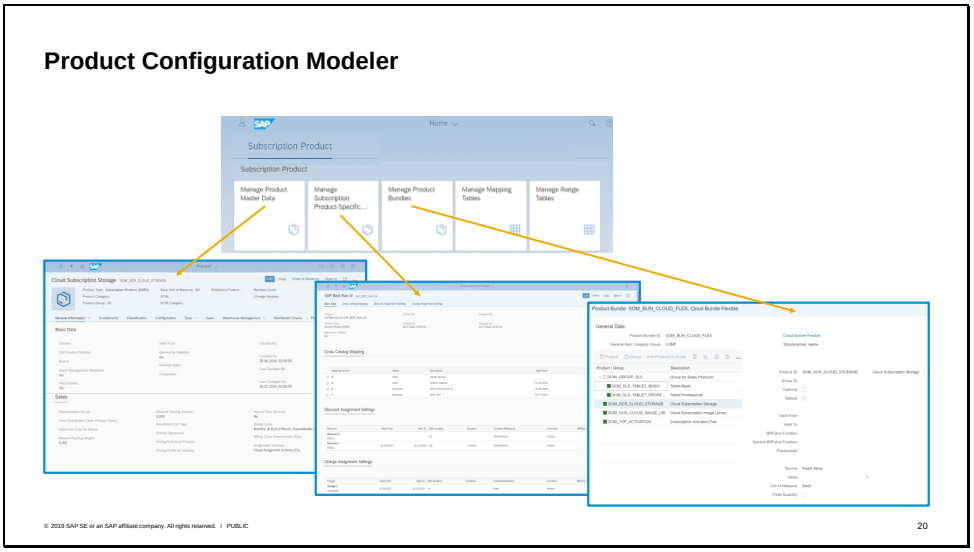
- There are usage based subscription for consumption based pricing models for which the pricing is defined in SAP Convergent Charging.
- There can also be products which shall be billed on a regular base e.g. monthly, the recurring subscriptions
- There can also be one time fees, the one-off charges like and activation fee for a contract

All these subscription products are billed in SAP Convergent Invoicing as billable items and billing documents either being created directly in SAP Convergent Invoicing (recurring fees), being sent from subscription order management (one-off charges) or being sent from SAP Convergent Charging (usage based).

Physical goods
Physical goods can be treated as sales items resulting in a SD sales order to support logistical processes like delivery or goods issue.

Bundles
Bundles can combine different kinds of products to be sold in a bunch and to offer specific process for the single bundle components. Bundles can be sales packages but also subscription products.

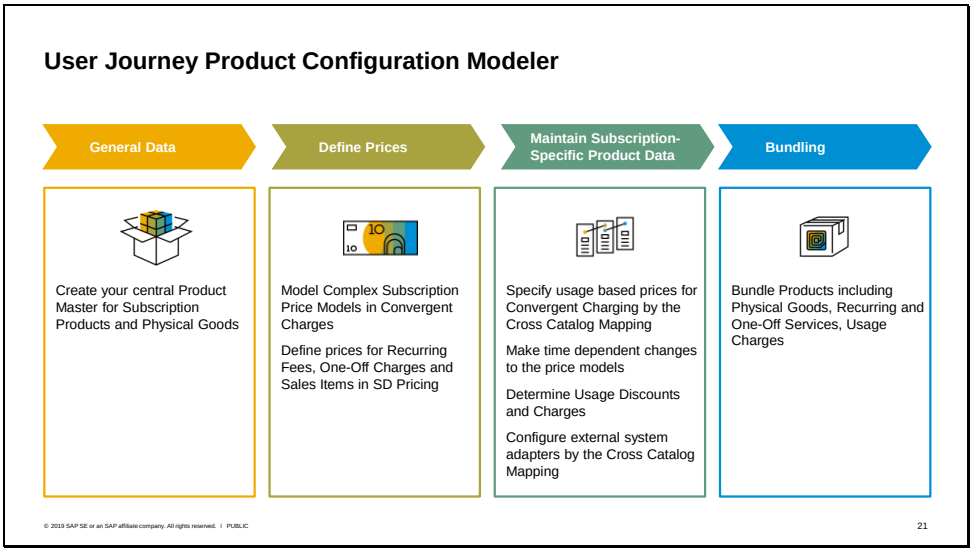
Slide 20



UI

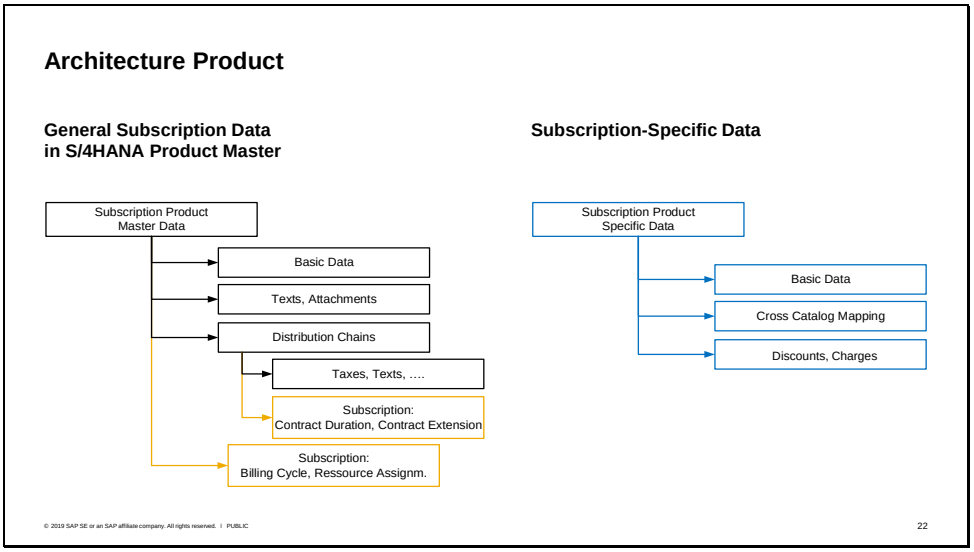
- Role-Based Access to a Set of Specialized Applications
- Fiori App for central product master: Manage Product Master Data
- Fiori App: Manage Subscription-Specific Data
- Embedded Web Client UI Application Manage Product Bundles
- Embedded Web Client UIs for Mapping and Range Tables

Slide 21



- The subscription product configuration modeler is responsible to create product masters for subscription products, physical goods if required and bundles.
- Prices can be defined once in SAP Convergent Charging to model the complex consumption based pricing models. Prices for one-off charges, recurring fees and sales items are defined as price conditions in S/4 HANA (SD Pricing).
- As soon as the price models (charge plans) in SAP Convergent Charging are defined the can be assigned to subscription products with cross catalog mapping.
- When required complex discounts or charges can be set up in SAP Convergent Invoicing, these discounts or charges can be assigned to the subscription products.

Slide 22



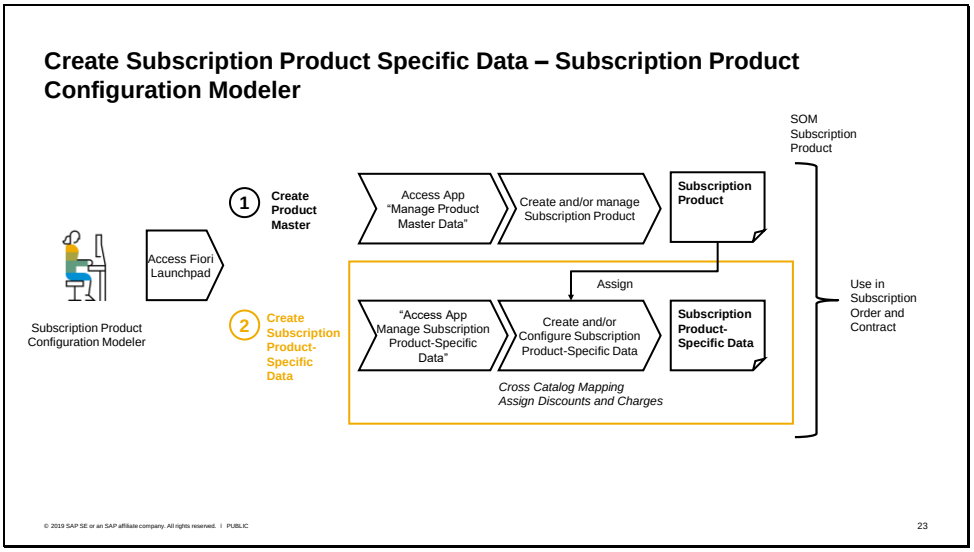
Following Principle of One

- In S/4HANA only the product master (aka material master) is used to maintain central product data
- The CRM product from business suite is replaced by the S/4HANA product master and therefore the CRM product is no longer available

Data Model

- The central product master has been enhanced with a set of fields for the product type “Subscription Product” Contract Duration, Contract Extension, Billing Cycle, Resource Assignment Schema
- Additional Subscription Product-Specific Data like cross catalog mapping, discounts and charges are implemented as an own „Manage Subscription Product-Specific Data” application

Slide 23



The subscription product configuration modeler first has to create the product master for the subscription products.

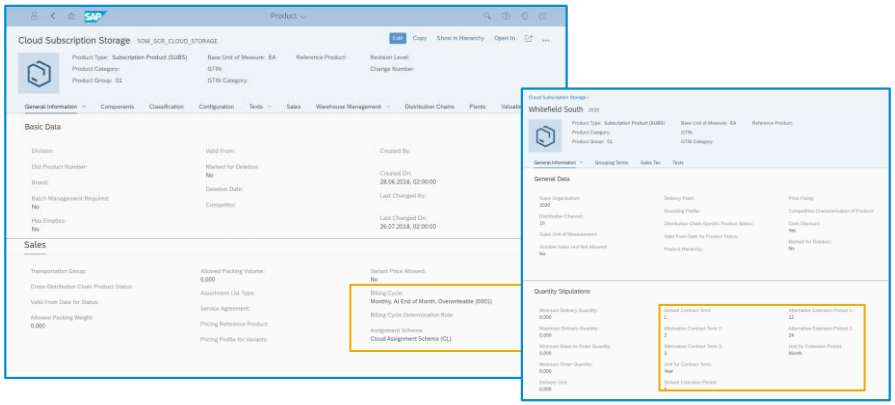
This is a prerequisite for creating subscription specific product data.

Subscription Product-Specific Data is always required when

- Complex discounts or charges (SAP Convergent Invoicing) need to be assigned to the subscription product
- Cross Catalog Mapping shall be maintained either to connect to SAP Convergent Charging or to configure external system adapters

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Fiori App Manage Product Master Data



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This app belongs to the central S/4 product master. The Fiori Business Role is SAP_BR_PRODMASTER_SPECIALIST.

Following Principle of One

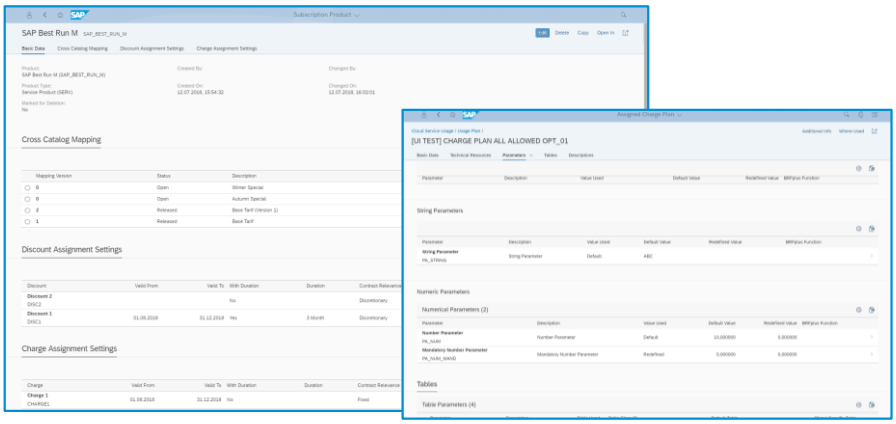
- In S/4HANA only the product master (aka material master) is used to maintain central product data
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Data Model

- The central product master has been enhanced with a set of fields for the product type “Subscription Product” like Contract Duration, Contract Extension, Billing Cycle, Resource Assignment Schema
- Additional Subscription Product-Specific Data like cross catalog mapping, discounts and charges are implemented as an own „Manage Subscription Product-Specific Data“ application

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Fiori App Manage Subscription-Specific Data



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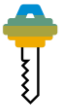
The app **"Manage Subscription Product-Specific Data"** is required if

- Cross Catalog Mapping shall be maintained either to connect to SAP Convergent Charging or to configure external system adapters
- Complex discounts or charges (SAP Convergent Invoicing) need to be assigned to the subscription product

The Fiori Business Role is SAP_BR_PROD_CONF_MODELR_SOM, this role contains also the S/4 app "Manage Product Master Data" and the embedded apps for range and mapping tables, and bundles.

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Key Facts Product Bundles



Definition

- A bundle is a combination of different products that are sold together as a whole. A product bundle always has a bundle product that ties together the bundle components. It is typically characterized by various relationships at different hierarchy levels.
- A bundle component is an individual product that constitutes part of a product bundle and is hierarchically located either under a bundle product or in a bundle component group.

Data Model

- Bundles are modelled in S/4HANA for customer management
- The single bundle components must already exist as product masters in S/4HANA product master

UI

- Web Client UI
- Web Client UI as Fiori App

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Bundles



Types

Sales Product
Subscription Product

Bundle Components
- Sales Products
- Subscription Products for one time fees, recurring fees and usage fees

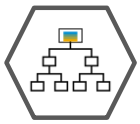


Master Data

Grouping (Optional, Alternative Components, Default)

Selection Conditions (Validity, BRF+ Functions, Prerequisite Products)

Quantity, Texts



Order

Bundle Explosion in Subscription Order with automatic creation of subitems

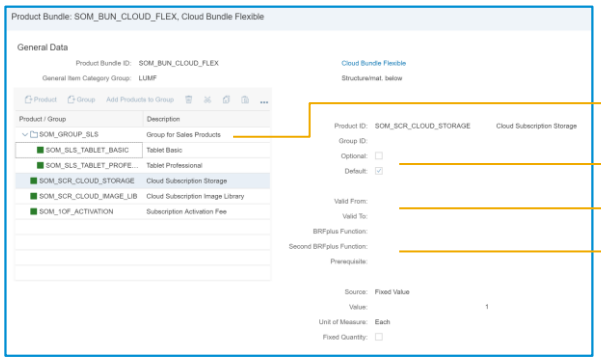
Bundle Specific Prices

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* Not in scope for wave 1

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Bundle Features



Products of a group are alternatives: they appear in a drop-down box. One product can/must be chosen at run time

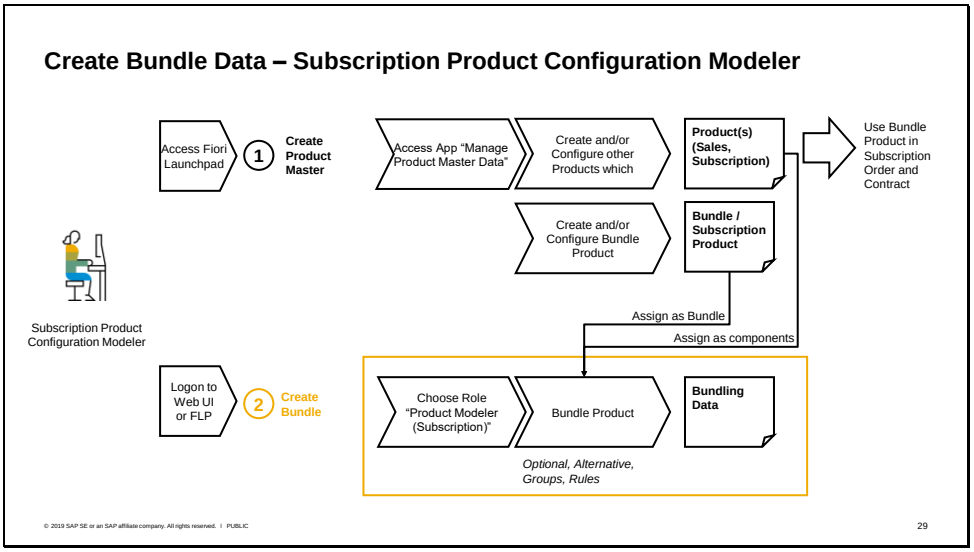
An optional product can be selected / deselected by the customer

Validity period can be maintained

Rules and prerequisite products can be defined

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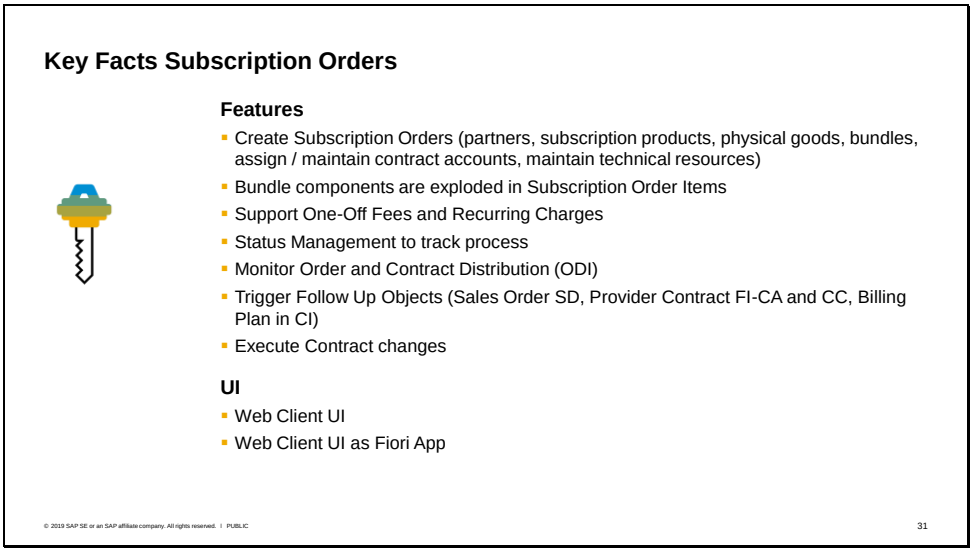


To create bundles the Subscription Product Configuration Modeler first needs to create all product masters for the single bundle components but also the bundle product itself. Via Fiori Launchpad (FLP) App “Manage Product Bundles” or via the role product configuration modeler in Web Client UI (S4C_SOM_PROD - Product Modeler (Subscription)) bundling can be done assigning the single bundle components to the bundle product.

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Slide 31



A subscription order is a special sales order that you can use to sell products or product bundles that consist of subscriptions to services (usage-based charges, recurring and one-time charges) and physical goods.

When the subscription order has been released, a new subscription contract is automatically created, whereby items with a short lifetime (sales items, one-time fees) stay in the order and items with a long lifetime (rate plans, rate plan options) become part of the contract. Whenever contract changes are required, a new subscription order is created. When the maintenance of this subscription change order is completed, these changes are transferred to the subscription contract. These contract changes can be made using change processes.

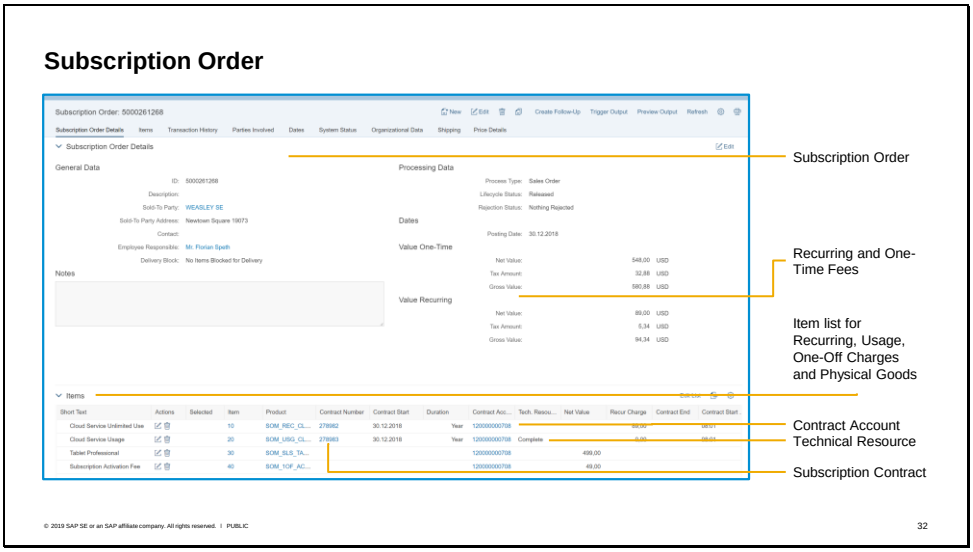
The subscription order can be used as follows:

- Subscription order for selling products and services (such as usage-based charges, recurring, and one-time charges); for the creation of a subscription contract.
- Change order for subscription contract changes.

When you confirm the subscription order, the application automatically creates or updates the relevant subscription contract, according to the status.

You can
- Search for Subscription Orders
- Create and Maintain Subscription Orders
- Release a Subscription Order for Subscription Contract Creation
- Maintain Change Orders

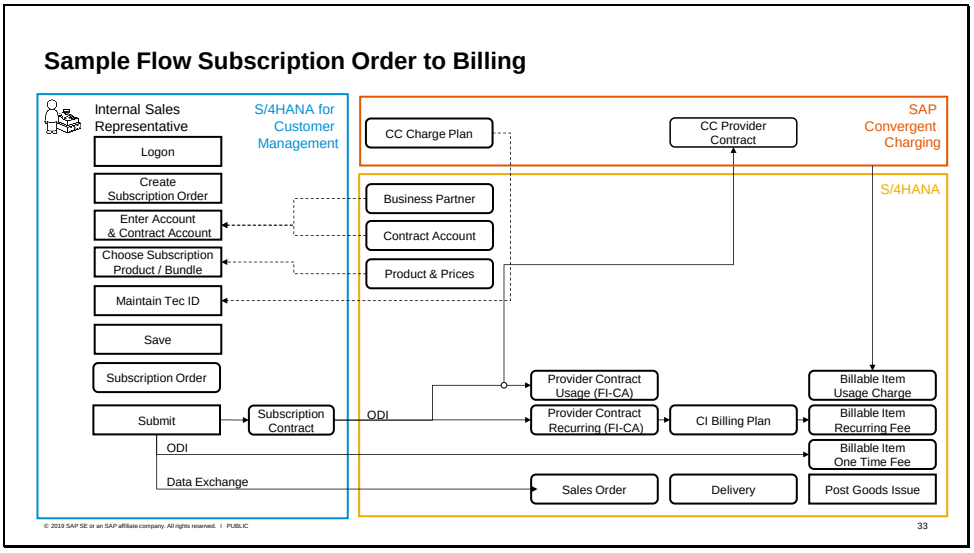
Slide 32



When creating a subscription order you select an existing business partner as a sold to. In addition you organizational data needs either to be set or determined.
In the item list you maintain your products or bundles. Bundles will explode and create subitems for the relevant bundle component. For each item a price is determined.
For subscription items with cross catalog mapping a technical identifier can be defined. If FI-CA is activated a contract account need to be maintained.

When the subscription order is submitted a subscription contract document with the subscription contracts as items is created.

Slide 33



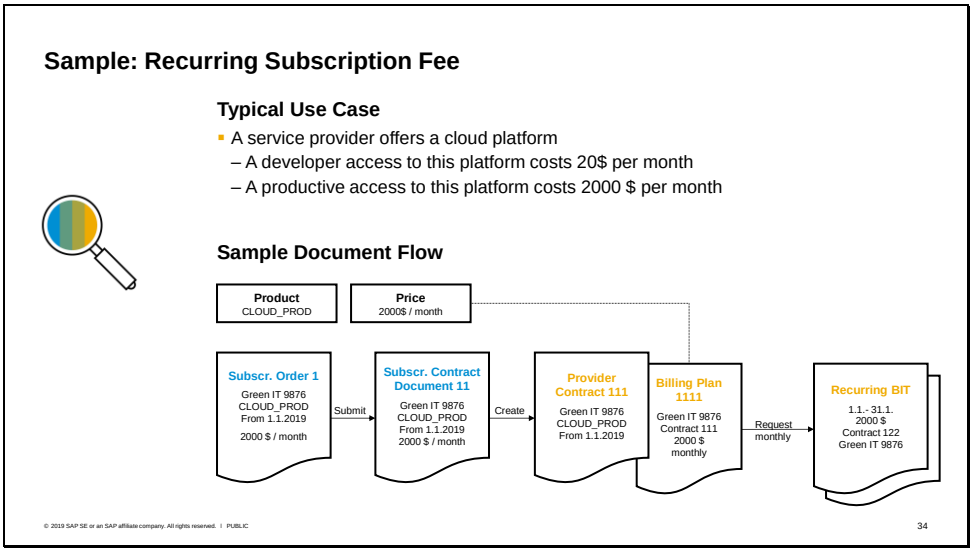
A subscription order can contain several types of services

- It can contain a pure usage based charge, a recurring, fee or products which combine both which will result in provider contracts in FI-CA.
- In addition sales items like hardware and
- one time items like a service fee can be included

When the subscription order is submitted the creation of follow up documents starts.

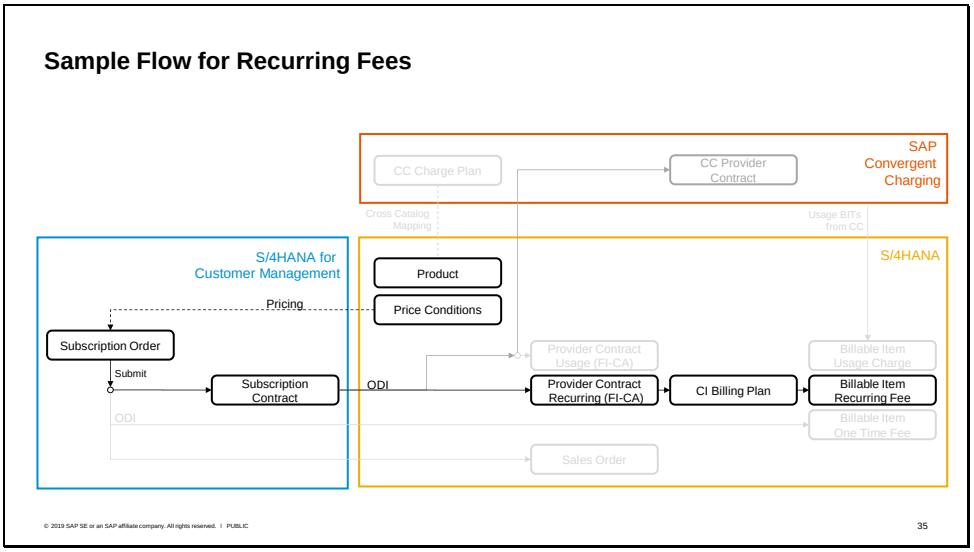
- The sales item is creating a sales order in SD. As distribution engine the Data Exchange environment is used.
- Activation Fees will directly create billable items in Convergent Invoicing. The step to trigger the creation is done in ODI (Order and Contract Distribution)
- Contract related items (recurring fees and usage fees) first create a subscription contract.
- This subscription contract is the distributed via the ODI to FI-CA and CC.
- For recurring Fees the FI-CA Provider Contract creates a CI Billing Plan to manage the recurring BITs.
- For Usage charges the corresponding provider Contract is distributed to FI-CA and Convergent Charging. Usage BITs the receive CI via Convergent Charging.

Slide 34



Subscription products that are used in subscription orders, may need to be invoiced periodically like a monthly fee for a cloud subscription.
When a subscription order with a recurring fee is submitted, a subscription contract is created. During contract distribution to FI-CA, contract items for which recurring fees exist in the pricing elements are identified. A dependent billing plan is created in SAP Convergent Invoicing for these items, in addition to the provider contract item.
This billing plan holds the information about the billing cycle, reference to the provider contract item, payment amount, and payment currency. You can now use this billing plan to request the recurring fees using the corresponding features in SAP Convergent Invoicing.

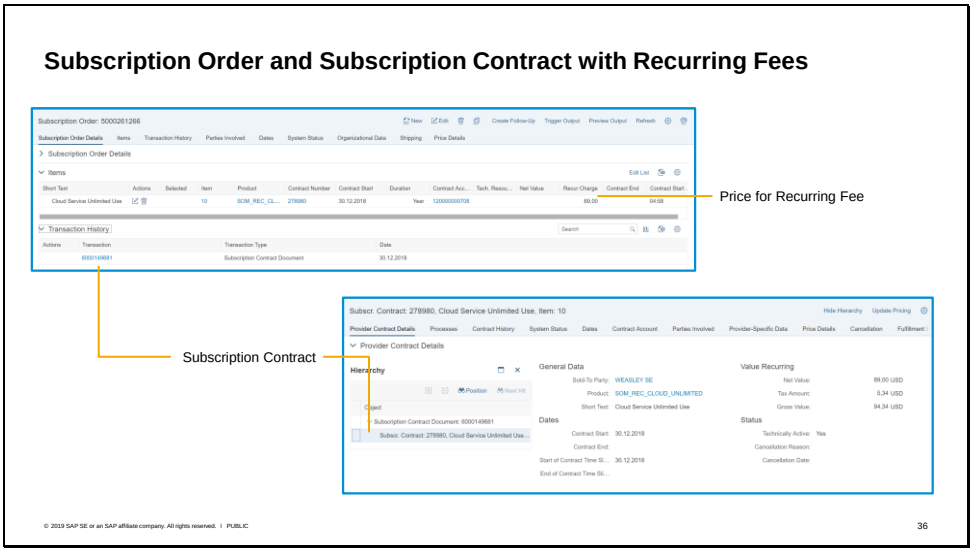
Slide 35



Recurring Fees are managed via Billing Plans in SAP Convergent Invoicing.
The CI Billing Plan creates the Billable Items for further processing of recurring fees.
Prices are defined as SAP Price Conditions, the subscription order executes pricing based on these conditions.
Prices and Billing Cycles are transferred to Provider Contract and CI Billing Plan. The CI Billing Plan is created as a follow-up object of a provider contract. It inherits the contract data like contract account, business partner, among others.

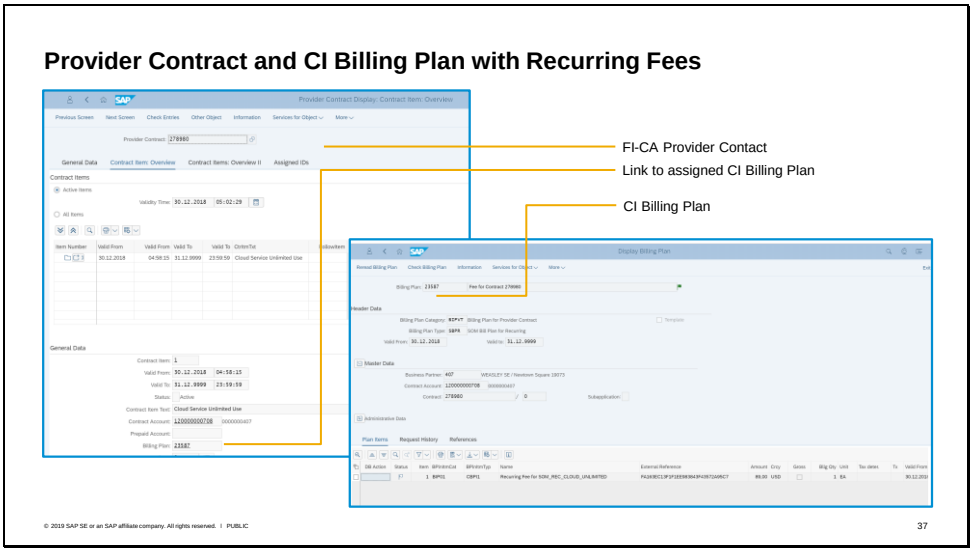
CI Billing Plans used by Subscription Order Management define a schedule for creation of billable items for billing for recurring charges e.g. as a monthly contract fee.

Slide 36



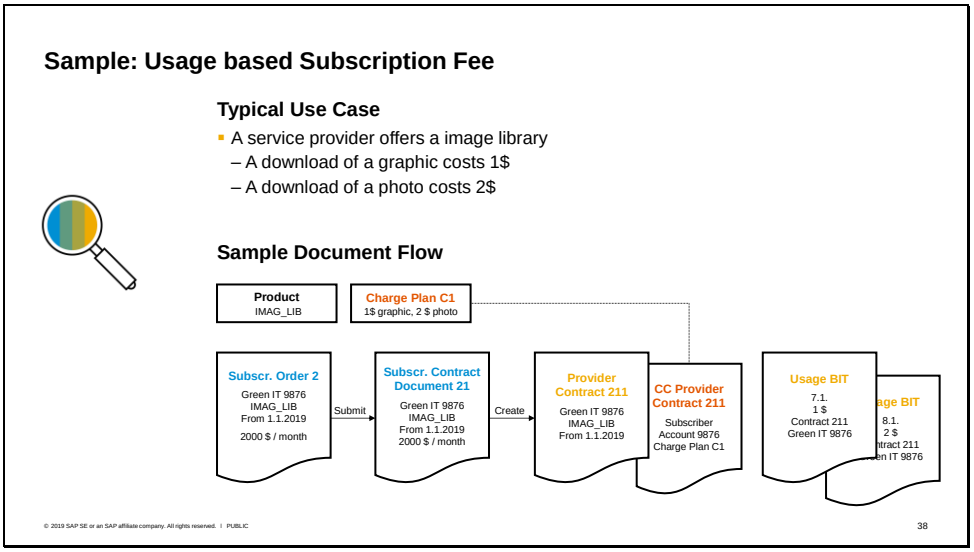
The price for the recurring fee is determined based on price conditions for recurring prices. The price is copied to the contract.

Slide 37



The subscription contract is replicated into a provider contract in FI-CA. A billing plan in Convergent Invoicing is assigned to this provider contract which will be used to request the billable items for the recurring fees.

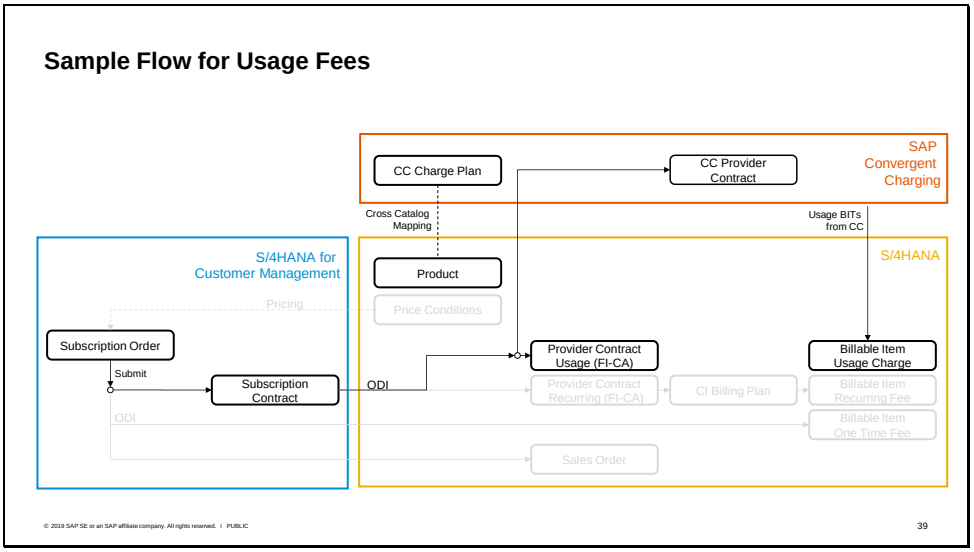
Slide 38



Subscription products that are used in subscription orders, may have an assignment to a charge plan in SAP Convergent Charging via cross catalog mapping to support complex consumption based pricing models.

When a subscription order with a usage based fee is submitted, a subscription contract is created, During contract distribution to FI-CA, contract items for which a cross catalog mapping exists are identified and a provider contract with the corresponding assigned charge plan is created. Incoming usage will then identify the provider contract in SAP Convergent Charging during charging, derive the price and send the resulting billable items to SAP Convergent Invoicing.

Slide 39

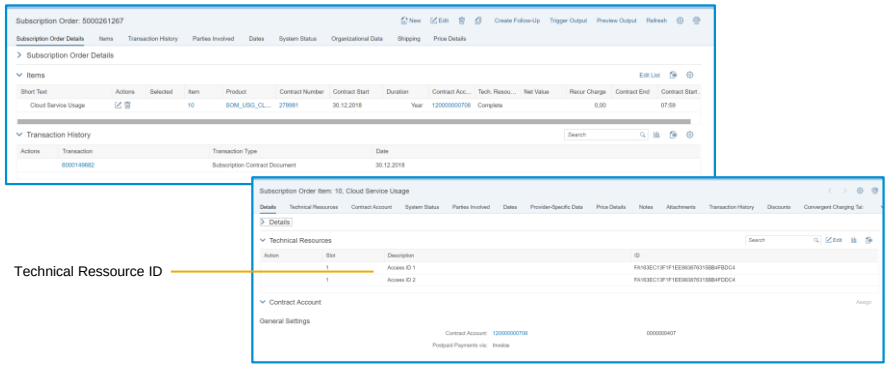


When a subscription order with a usage based fee is submitted (released), a subscription contract is created. During contract distribution, the contract items for which a charge plan is assigned are identified. The provider contract in FI-CA and the provider contract in SAP Convergent Charging are created.

SAP Convergent Charging is charging and rating the incoming usage and sends billable items to SAP Convergent Invoicing.

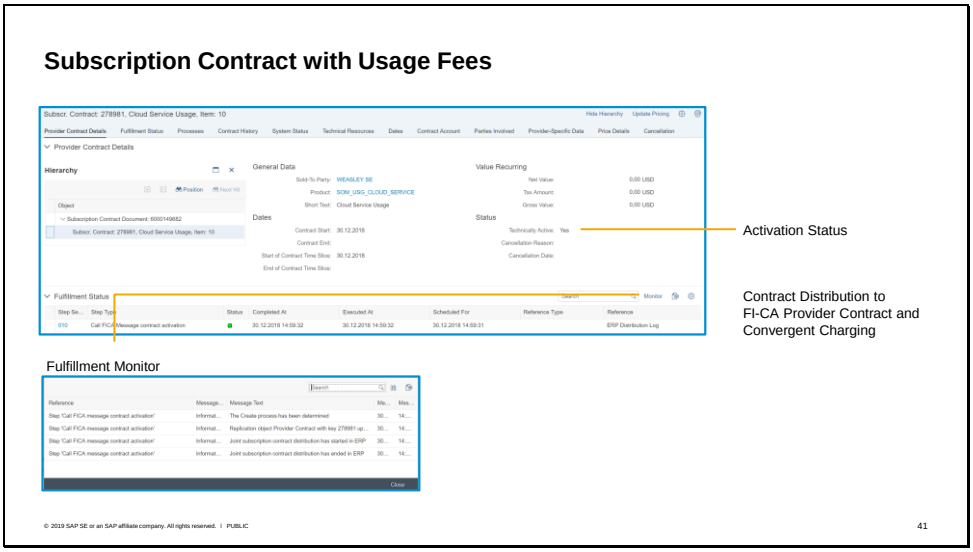
Slide 40

Subscription Order with Usage Fees



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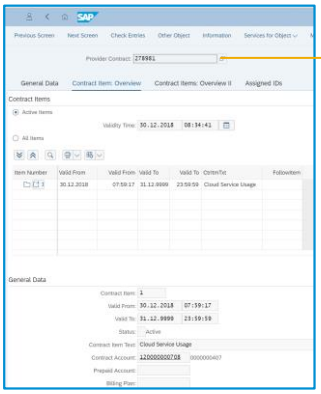
Slide 41



The activation status of a subscription contract shows if the document distribution was successful and is already finished. Status active is shown when all steps in document distribution (ODI) have been finished successful.
In the fulfillment monitor details for the single steps can be displayed.

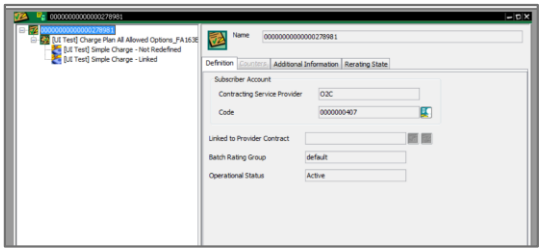
Slide 42

Provider Contract in FI-CA and Convergent Charging



FI-CA Provider Contact

Provider Contact in SAP Convergent Charging



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The subscription contract is replicated into a provider contract in FI-CA. In addition via FI-CA Master data distribution (joint distribution) it is also replicated to SAP Convergent Charging.
The charge plan which was assigned to the subscription product via Cross Catalog Mapping is transferred from subscription order, subscription contract via FI-CA Master data distribution to the provider contract in SAP Convergent Charging.

Slide 43

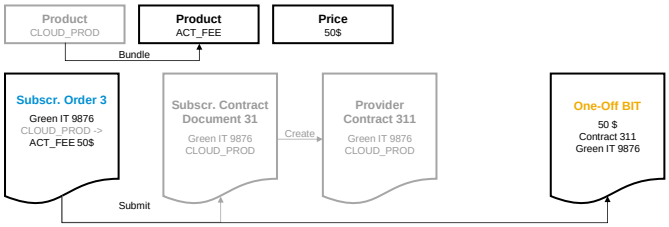
Sample One-Off Charge

Typical Use Case

- A service provider offers a Subscription Contract offering, together with the contract an activation fee has to be paid



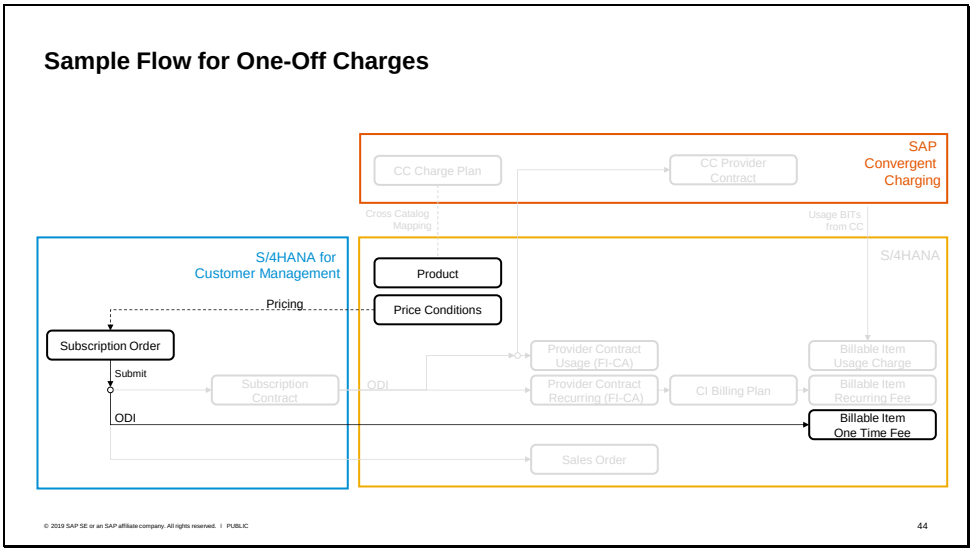
Sample Document Flow



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A one-off charge is a charge which has only to be paid once, for example, an activation fee or suspension fee. The one-off charges are delivered to SAP Convergent Invoicing in the form of billable items and, later provided either on the customer's invoice, either together with usage charges or on a separate invoice.

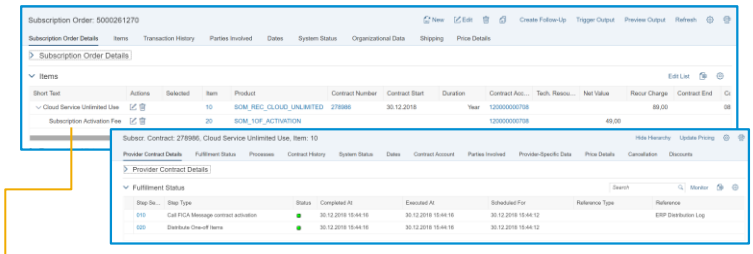
Slide 44



One-Off Fees are managed via Billable Items (BITs) in SAP Convergent Invoicing
If the One-Off Fees are subitems of a subscription contact item, they have a reference to the contract contained
Prices are defined as SAP Price Conditions, the subscription order executes pricing based on these conditions
One-Off Fees are created during an ODI step. Two points of time are supported (Order Submit, Contract Create). Order Submit sends all stand alone One-Offs, Contract Create send One-Offs which are subitems of a contract item. The distribution takes place together with the contract distribution

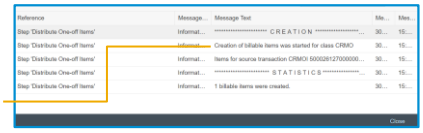
Slide 45

Subscription Order with One-Off Charge



One-Off as a subitem of a contract is distributed together with the contract
Stand alone One-Offs are distributed already with the order

One-Off BIT creation triggered via ODI



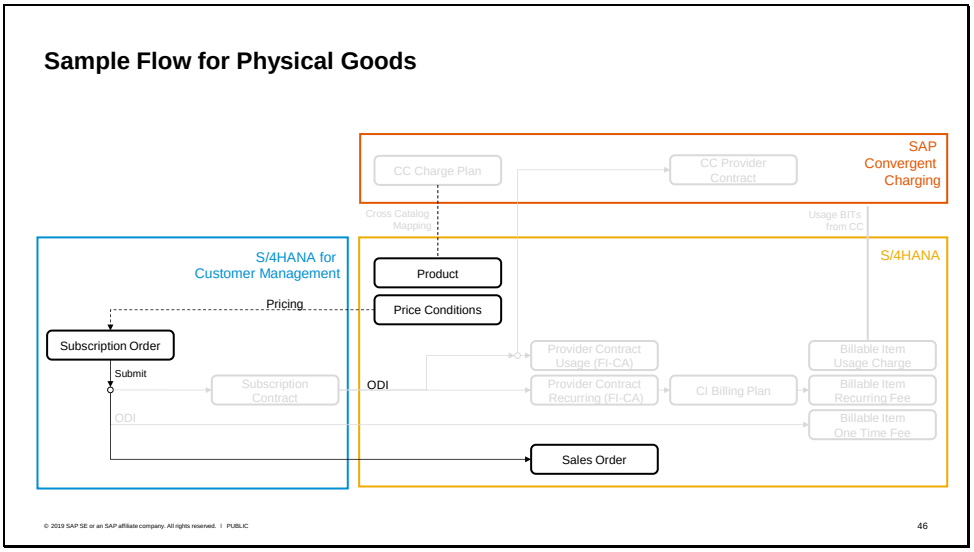
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One Off Charges can be distributed in two different ways

- Distribution of Relevant One-Off Charges from Subscription Order
- Distribution of Relevant One-Off Charges from Subscription Contract

In both cases an ODI step is triggered which creates a billable item in SAP Convergent Invoicing.

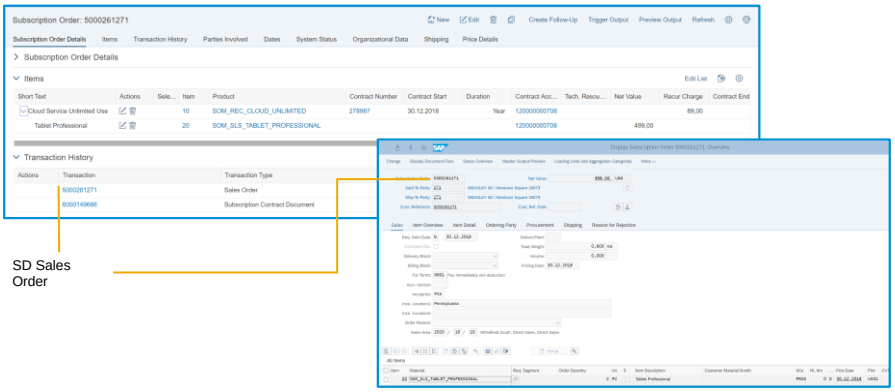
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A subscription order can also contain physical goods represented as sales items in the subscription order. These sales items result in SD sales orders.

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Subscription Order with a Physical Good



SD Sales Order

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Sample Bundle



Cloud Subscription XL

Monthly Cloud Subscription XL
2000 $

Image Library
optional

Account Activation Fee 50 $
only if Tablet Basic is selected

Select Alternative

Tablet Basic 199 $

Tablet Professional
in bundle 399 $ instead of 799$

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Bundles in subscription orders



Explosion

Bundle Components explode when parent product is entered'

Subitems can be exploded based on rules (BRF+ Function or prerequisite Product)

Alternative items can be changed

Optional items can be deselected



Follow Up

After submit

Subscription Contract is created with main and subitems

Sales Order is created for sales items

One-Offs are created



Pricing

Price of a subitem can be dependent of a higher level item

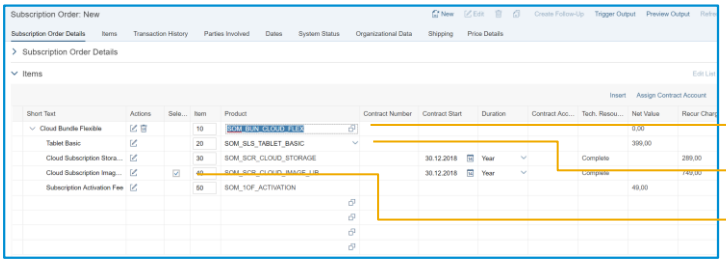
Price can be dependent on contract runtime

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* Not in scope for wave 1

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Subscription Order with a Bundle



Bundle explodes into sub components

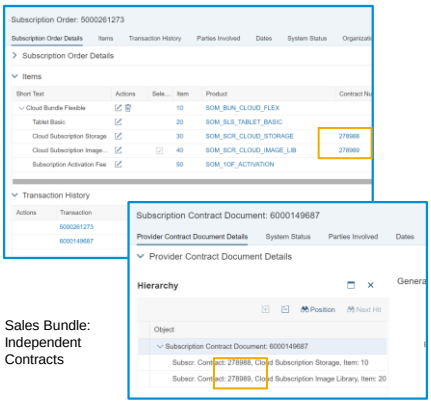
Choose between alternative products

Select / Deselect optional components

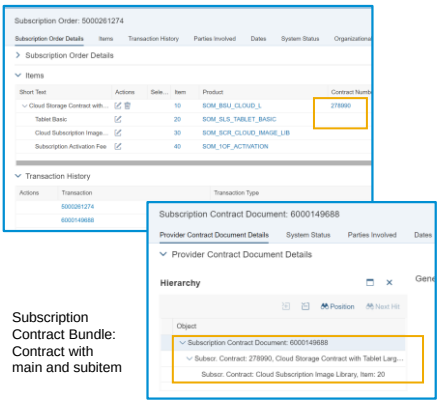
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Subscription Contract for Sales Bundles and Subscription Contract Bundles



Sales Bundle: Independent Contracts



Subscription Contract Bundle: Contract with main and subitem

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Key Facts Contract Change Process



List of Change Processes

- Cancellation of Contracts and Cancellation of Options, Revoke Cancellation (of contracts and of options)
- Contract Extension, Revoke Contract Extension
- Product Change
- Change Contract Account Assignment
- Change of Technical Resource
- Upgrade Cross Catalog Mapping Version
- Create Repair Order
- Create Change Order

Technical

- BTMF Framework to define change processes
- BRF+ controls which processes can be selected during runtime
- ISTA change via a change crder, ISTF change directly on contract, ISTG contract repair

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You can use subscription contract processes to trigger contract change requests for a customer. These changes can affect personal customer data, such as changing payment data or contract data for the customer, extending a contract or changing the product.

These type of processes are very specific to the business of the service provider. Hence, the system provides a framework to define own change processes and a set of sample processes that serve as a basis for new use cases.

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Change Processes



Why

Subscription Contracts can only be changed by change processes

Changes in Subscription Contracts can be tracked on change history



BTMF

Is a Maintenance Framework

Allows Customers to implement own change processes

Supports own UIs for each change process



Product Change

Product Change can only be executed from one Subscription Product to another Subscription Product or Subscription Product bundle

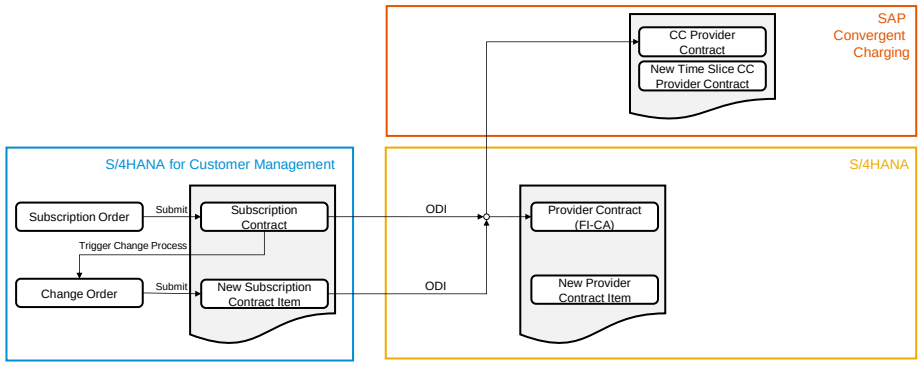
Up / cross sell is not available

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* Not in scope for wave 1

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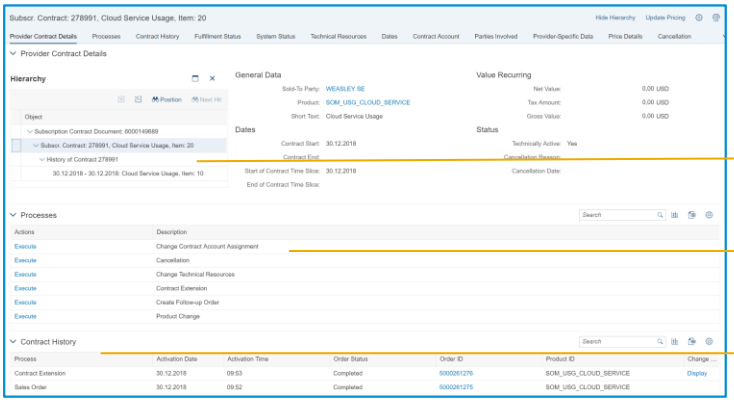
Sample Flow for Change Processes (with Change Order ISTA)



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Subscription Contract



Contract History

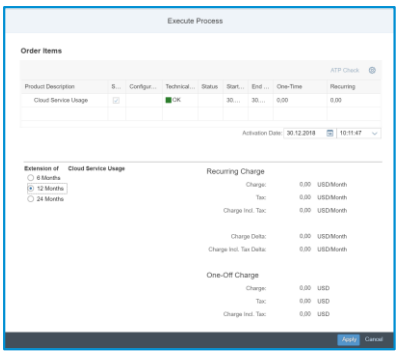
Executable Change Processes

Contract Change History

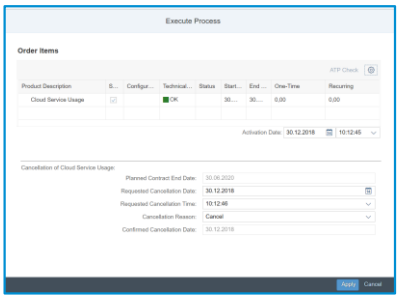
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Change Process Samples



Contract Extension



Contract Cancellation

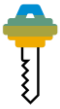
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Key Facts Order Document Distribution (ODI)



Features

- Is required to distribute follow up documents to FI-CA, CC and CI
- Offers a flexible way to setup a document specific customizable document distribution
- Default distribution implementations for creation of FI-CA and CC Provider Contracts using the FI-CA master data distribution framework (joint distribution)
- Default distribution implementations for creation of One-Off BITs

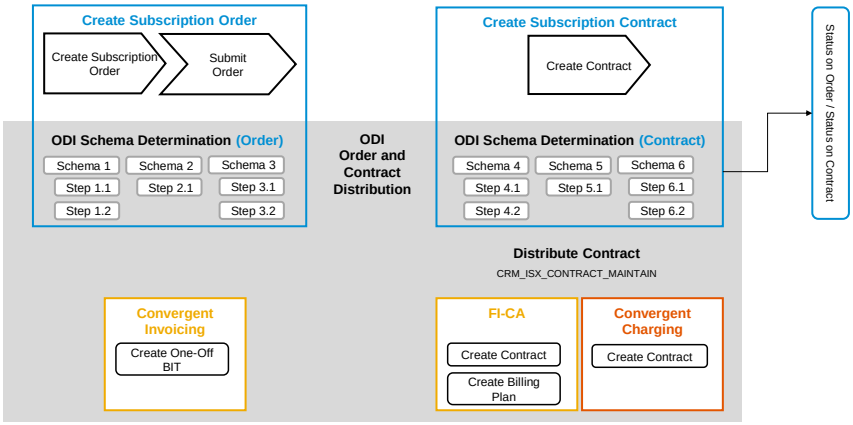
Data Model

- Is a framework that allows document-specific customizable distribution
- Allows customers to implement own schema and steps
- Supports delayed distribution(scheduling), dependent steps, a-synchronous communication and re-processing (monitor)

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Document Distribution Overview



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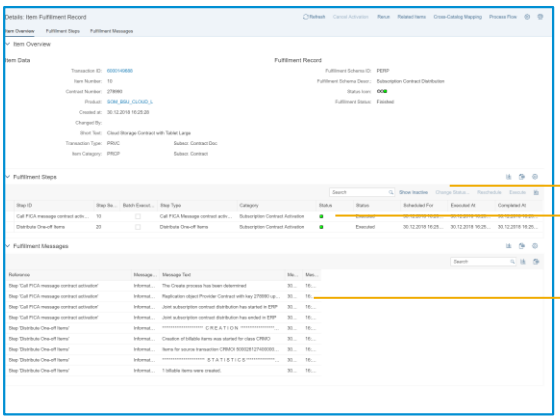
ODI Schemas and Steps

Schema		Step Type		Category	
PO01	Subscription Order	O001	Always true activation	O1	Order Distribution
POOF	Subscription Order One-off Distribution	ONEF	Distribute One-off Items from Order	O1	Order Distribution
PERP	Subscription Contract Distribution	PCWA	Wait for activation	P0	Subscription Contract waits for activate (Batch)
		PCEA	Call FI-CA Message contract activation	P1	Subscription Contract Activation
		PCOF	Distribute One-off Items	P1	Subscription Contract Activation
		PCWD	Wait for deactivation	P5	Subscription Contract waits for deactivation (Batch)
		PCED	Call FI-CA Message contract deactivation	P6	Subscription Contract Deactivation
0001	Subscription Contract Direct activation	PCWA	Wait for activation	P0	Subscription Contract waits for activate (Batch)
		0011	Always true activation	P1	Subscription Contract Activation
		PCWD	Wait for deactivation	P5	Subscription Contract waits for deactivation (Batch)
		0012	Always true deactivation	P6	Subscription Contract Deactivation

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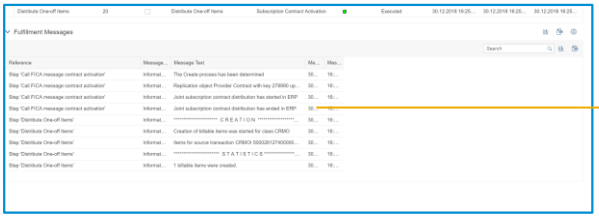
ODI Monitor



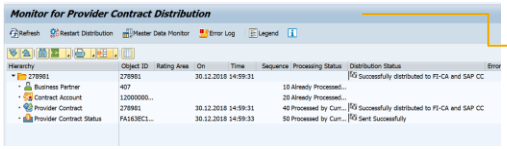
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ODI and Joint Distribution



Provider Contracts are distributed via the FI-CA Master Distribution Framework (joint distribution) if CC is involved

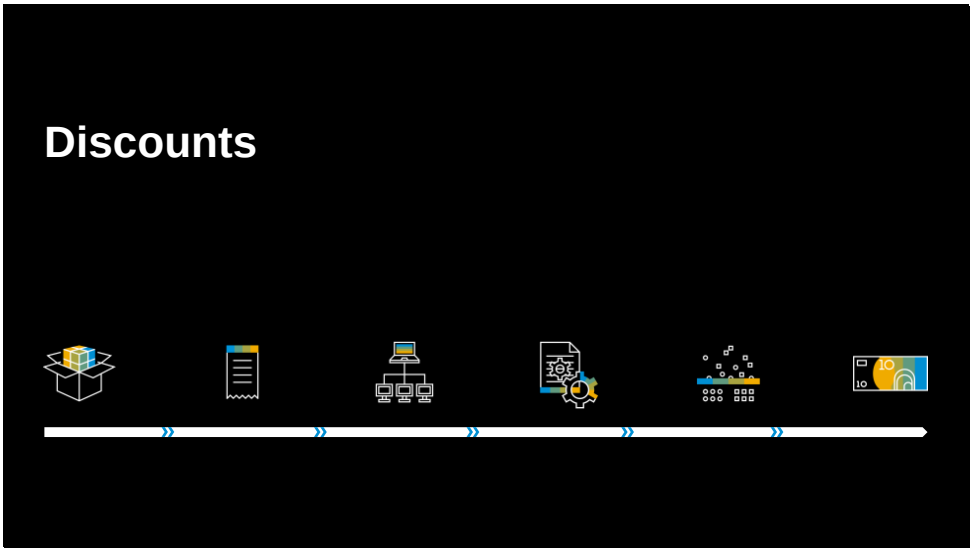


FI-CA Provider Contract Distribution Framework (Joint Distribution)

Transaction Code for FI-CA Fulfillment Monitor FKKCC_PC_MON

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Sample Discounts



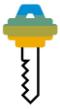
Typical Use Case

- A service provider offers an image library where the customer can download images
  - The service provider grants a monthly discount to its customer: 10% on downloads if customer exceeds more than 1000 downloads a month
  - The service provider charges a fee of 20 $ if a customer does not reach the download value of 50 $

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Key Facts Discounts



Features

- Discount and Charge Keys are defined in Convergent Invoicing
- Discount and Charge Keys can be assigned to Subscription Products
- In Subscription Order discounts are derived from the product. They are automatically found or can manually be added depending on settings
- Discount Keys are stored in Subscription Contract and transferred to FI-CA Provider Contract
- Discount processing is completely executed in Convergent Invoicing

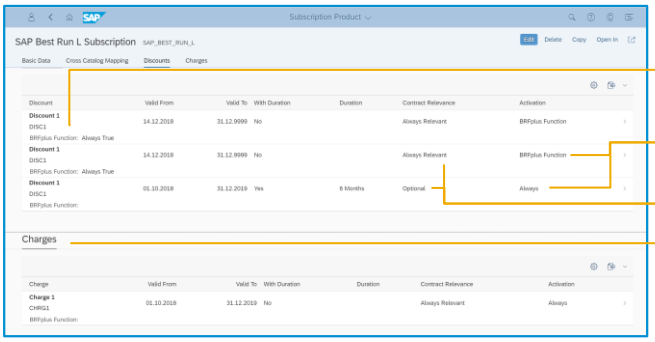
UI

- Discount and Charge assignment during Product Modelling with Fiori App „Manage Subscription Product-Specific Data “
- Web Client UI to maintain Discount Keys in Subscription Order

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Discount Keys in Subscription Products



CI Discount / Charge Keys can be assigned to a Subscription Product

Discount / Charge activation can be always or based on BRF+ Rule

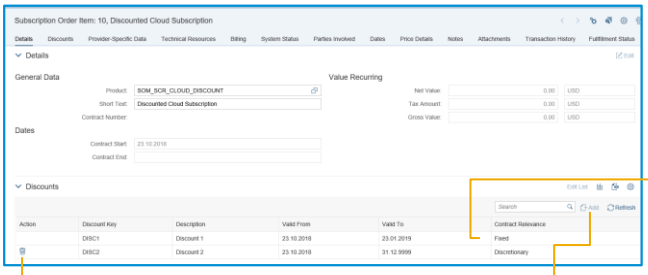
Discount / Charge relevance can be always or optional

In Subscription Product UI you can separate between discounts and charges

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Discount Keys in Subscription Order



Discount Keys are derived from the Subscription Product based on their Activation Rule

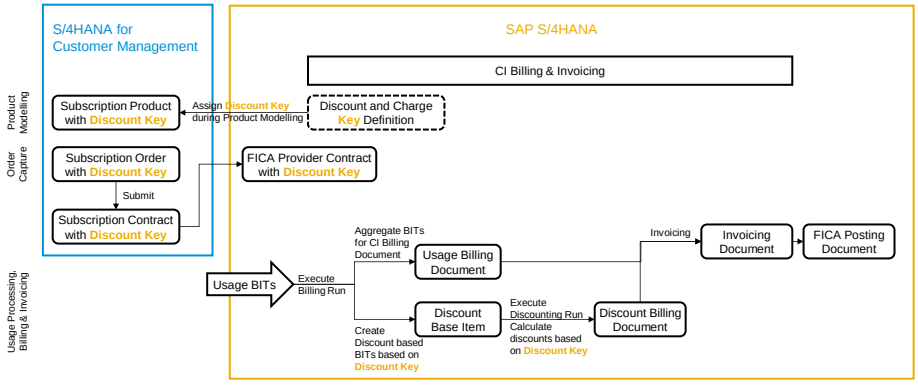
Obligatory (always relevant) Discounts cannot be deleted

Optional Discount Keys can manually be assigned or deleted

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E2E Flow Discounting



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Sample Partner Settlement



Typical Use Case

- A service provider offers an app which has been developed by a partner
- Each time when the app is downloaded the partner shall receive 1% of the downloaded value

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Key Facts Partner Settlement



Features

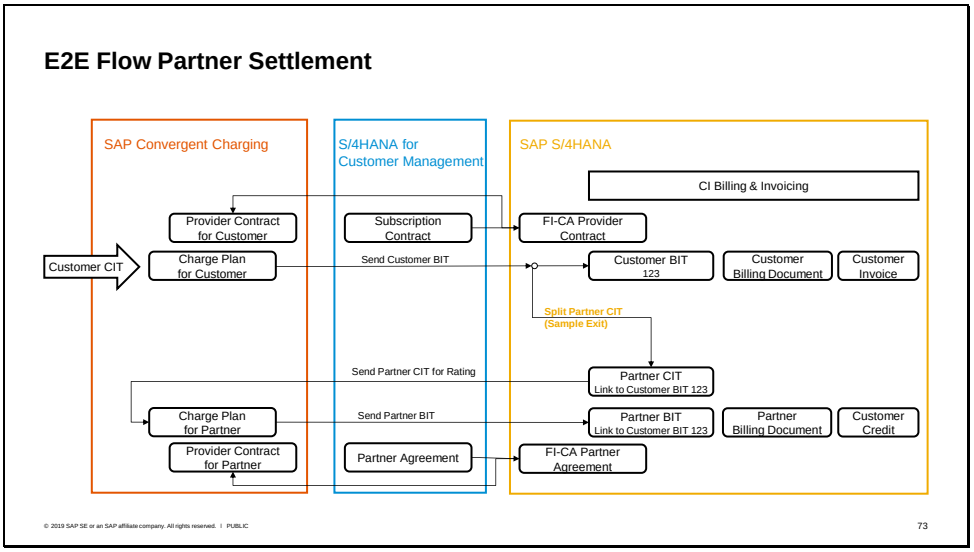
- Partner Agreement Orders and Partner Agreements are created in Subscription Order Management
- Partner Processing itself is only done in Convergent Invoicing and Convergent Charging.
- Subscription Partner Contracts create a partner agreement (Provider Contracts for a partner) in FI-CA
- Subscription Partner Orders can only be created for products of a material type which is customized for partner processing, in addition a settlement rule needs to be assigned

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With traditional industries rapidly evolving their business models to service-based models, a revenue sharing business model is becoming increasingly important. In such a model, service providers who have contractual agreements with the end customers, either share part of their revenue with or pay certain royalties to their content providers. For this reason, a service provider closes a partner agreement with the content provider. The partner agreement holds the conditions negotiated between the service provider and the content partner, like the service and the revenue split. When an end customer purchases a service, the involved content partner is given a part of the revenue based on the contract that the service provider finalizes with the end customer.

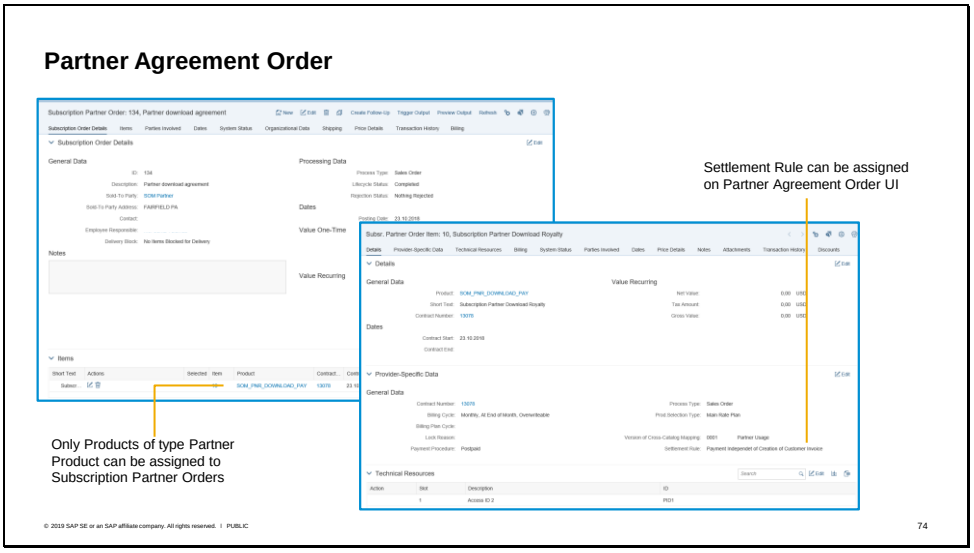
In subscription order management you can create partner agreement orders which result in partner agreements.

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- A partner agreement order is created for a partner containing the partner product(s) for it's business. When the partner agreement order is submitted the partner agreement is created and replicated to FI-CA partner agreement and CC provider contract for partner.
- Furthermore a customer contract is required.
- If usage is sent from SAP Convergent Charging to SAP Convergent Invoicing, this billable item is identified as relevant for partner settlement. In addition to the customer BIT it will also create a partner CIT. This partner CIT carries a technical ID which can the identify the partner provider contract in SAP Convergent Charging during charging and rating and send a billable item for the partner back to CI for further processing.

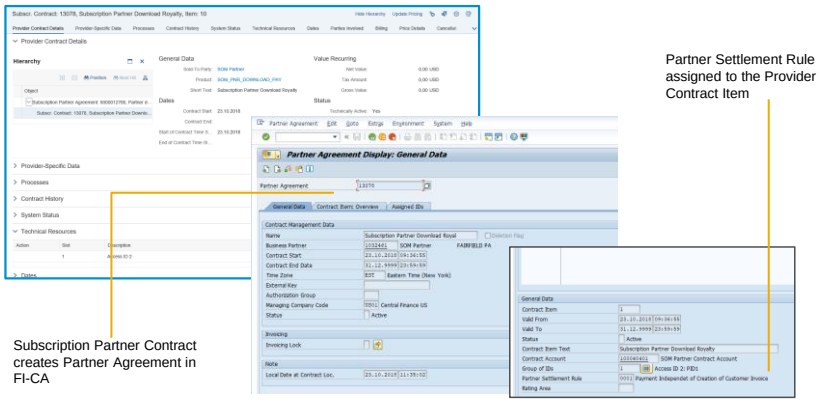
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Products which are used in partner agreement orders must have the product purpose ”Partner Agreement Product”. Only then they can be used in transactions of a transaction type with document purpose “Partner Agreement Order”.
In such cases the settlement rule is an required entry. The settlement rule is defined in SAP Convergent Invoicing to define how partner BITs are processed during settlement.

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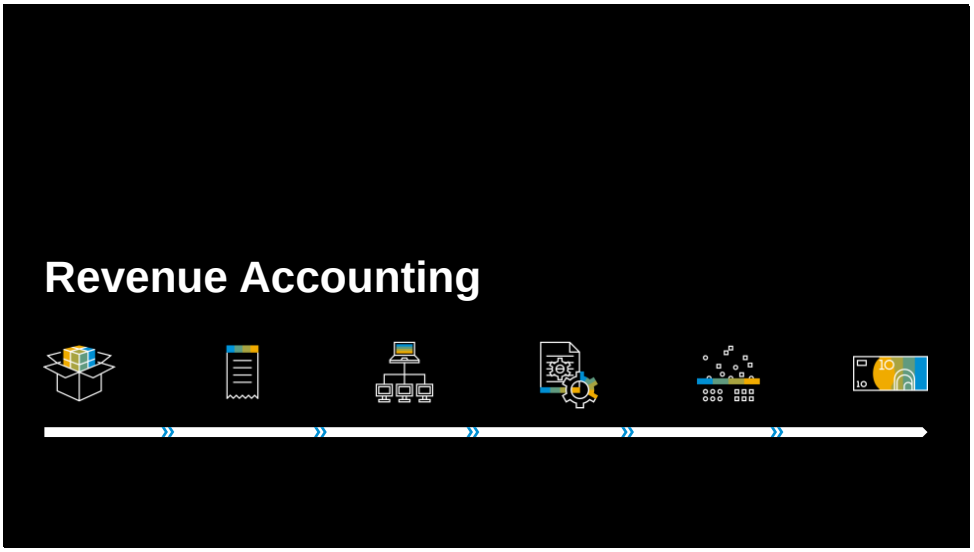
Partner Agreement



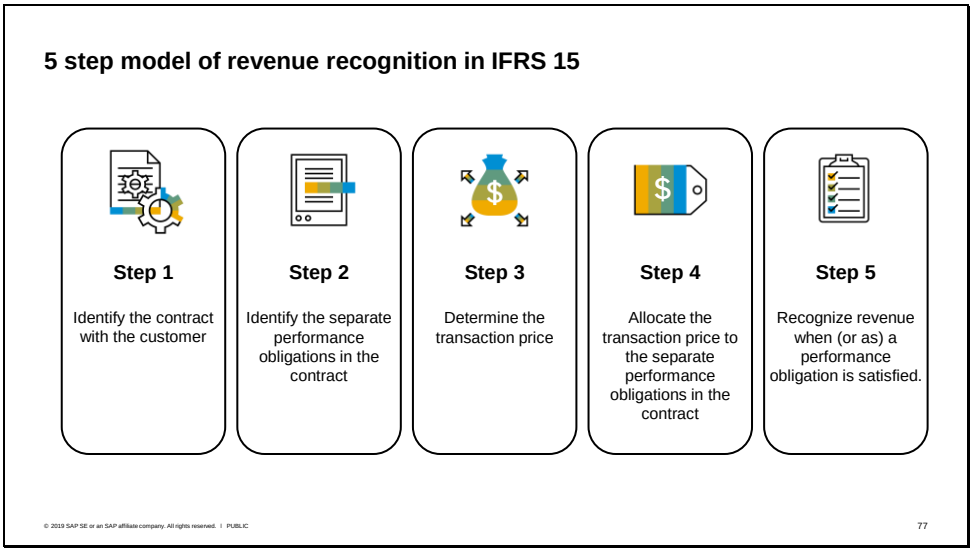
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The partner agreement is replicated to a partner agreement in FI-CA. Partner agreements are a special kind of provider contracts. The settlement rule is copied to the partner agreement in FI-CA. To display partner agreements in FI-CA you can use transaction FP_PV3.

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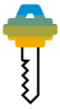
IFRS 15 regulation impacts companies selling hardware and services bundled together and/or running long term projects via a contract with a customer. They need to report according to the new revenue recognition rules starting January 1st 2018. SAP S/4HANA for billing and revenue innovation management (BRIM) and SAP Revenue Accounting and Reporting integration helps to efficiently recognize the revenue.

Revenue Accounting and Reporting enables you to manage revenue recognition in a process that involves the following high-level steps:

- Identify contracts In this step, you create revenue accounting contracts corresponding to operational documents that are created on a back-end operational system.
- Identify performance obligations In this step, you identify the performance obligations included in each contract. You create performance obligations for items in the operational document and manage their relationships with one another.
- Allocate the transaction price In this step, you determine the total price by aggregating the pricing conditions passed from the back-end operational system, and then allocate the total price among the performance obligations.
- Manage fulfillment of performance obligations In this step, you recognize revenue for performance obligations as they are fulfilled.
- Make revenue postings In this step, you make postings to the general ledger regularly to reflect revenue-related transactions.

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Key Facts BRIM Revenue Accounting Integration

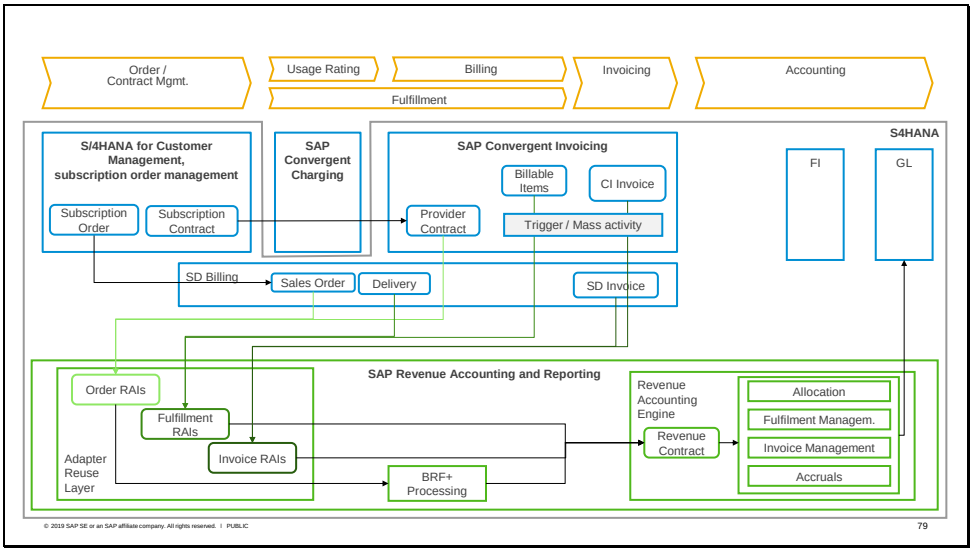


Features

- The BRIM solution has to account for the resulting revenues from contracts with customers compliant to the IFRS15 accounting standard.
- The realization of the integration into RA is realized out of SAP Convergent Invoicing, basically sending the required revenue accounting items (RAIs) for order items, fulfillments, and invoices to the adapter reuse layer (ARL) of Revenue Accounting.
- Subscription Order Management provides revenue accounting relevant information for further processing.

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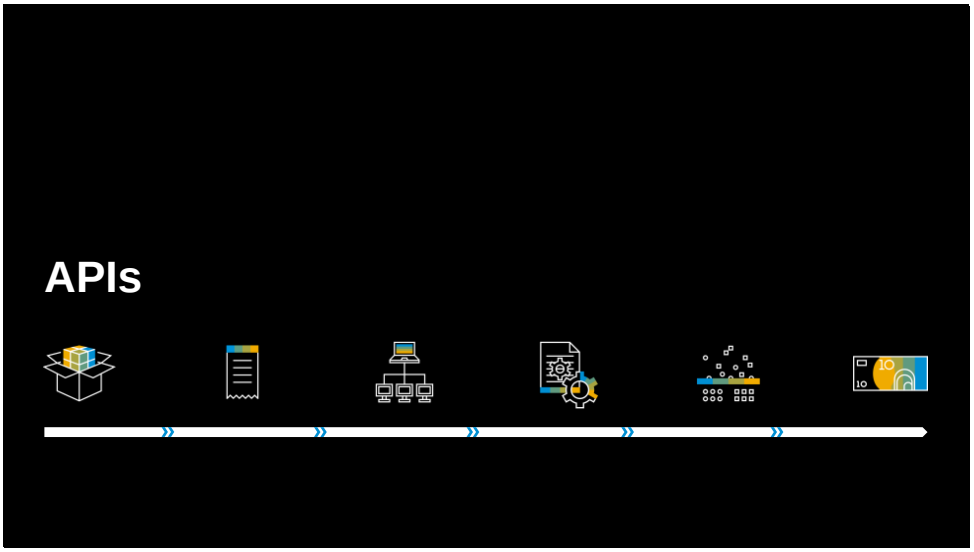
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The BRIM integration into the generic SAP Revenue Accounting and Reporting solution considers the ‘full deployment ‘ scenario considering the FI-CA provider contract as the core object for identifying the contract with a customer.

- From the SAP Convergent Invoicing the revenue accounting relevant information is sent to the revenue accounting engine in the appropriate format for order items, fulfillment items for usage based revenue recognition, and for invoice items.
- If sales orders are part of the process, order, fulfillment and invoice items are sent from SD.
- In the Revenue Accounting process flow operational information is transformed into revenue contracts and performance obligations, the performance obligations are allocated considering standalone selling prices, and resulting revenues for fulfilled performance obligations are recognized and posted into general ledger.

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Order and Contract APIs

General

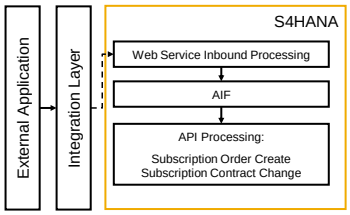
- Asynchronous SOAP Services
- Error Handling in AIF (Application Interface Management Framework)

Create Subscription Order

- Create a subscription order and prepare it later in the UI
- Create a subscription order and a contract in a single step
- SOAP Service Provider: SubscriptionOrderRequest_In

Change Subscription Contract

- Change Contracts
- SOAP Service Provider: SubscriptionContractChangeProcessRequest_In



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The subscription order **Application Programming Interface** (API) provides another option in subscription order and contracts maintenance, in addition to the existing Web-based UIs (Back Office, Fiori Launchpad).

The main use cases are:

- Order capturing in a pre-system, for example external SAP S/4HANA for Customer Management, mobile client, WebChannel
- Migration
- Automated contract changes (for example extensions)

To create or change subscription orders and contracts, the following SOAP web services:

- Create a subscription order and contract with a referenced order
  Service Provider: SubscriptionOrderRequest_In
  Namespace: http://sap.com/xi/S4CRM/
- Change a subscription contract
  Service Provider: SubscriptionContractChangeProcessRequest_In
  Namespace: http://sap.com/xi/S4CRM/

Monitoring and error handling in the SAP S4HANA backend is provided by an implementation in the AIF component in S4HANA:

- Service Provider: SubscriptionOrderRequest_In
  AIF Namespace: /CMSOM
  AIF Interface Name: SBRO_R_IN
- Service Provider: SubscriptionContractChangeProcessRequest_In
  AIF Namespace: /CMSOM
  AIF Interface Name: SBRC_R_IN

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Product APIs

General

- Classes which can used in custom specific implementations
- Prerequisite is that the product master is already existing in the system including the required distribution chain data

Update subscription product-specific fields in the product master

- Adding fields like Contract Duration, Contract Extension, Billing Cycle, Resource Assignment Schema to an existing product
- CL_CRMS4_SOM_PRODUCT_API->UPDATE_PRODUCT

Create subscription product-specific data

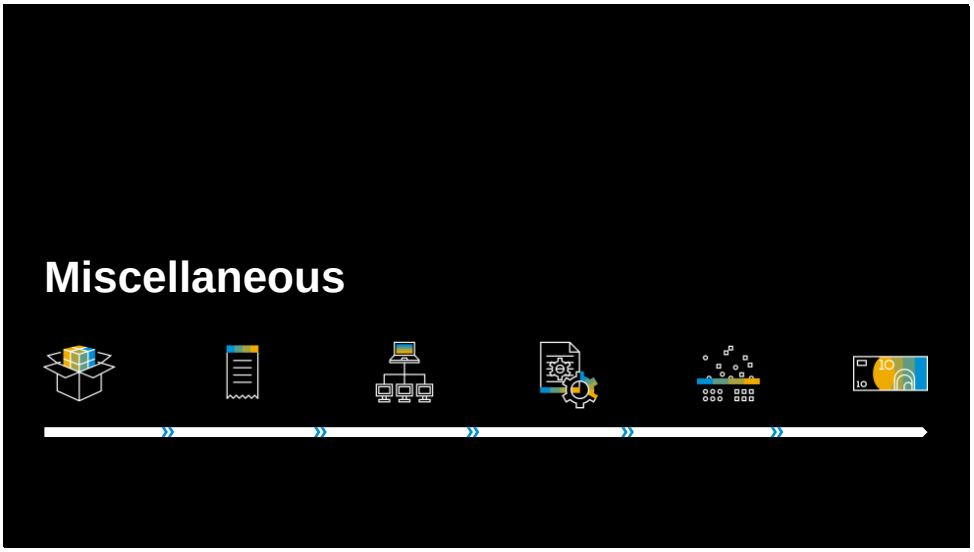
- Creating subscription product-specific data like charges, discounts and cross catalog mapping
- CL_CRMS4_SOM_PROD_SPEC_API => CREATE_PRODUCT_SPECIFIC

Update subscription product-specific data

- Update subscription product-specific data like charges, discounts and cross catalog mapping
- CL_CRMS4_SOM_PROD_SPEC_API => UPDATE_PRODUCT_SPECIFIC

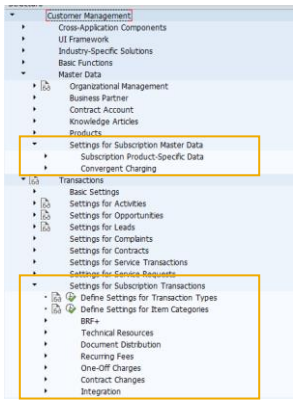
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IMG

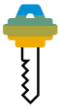


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Settings for subscription order management can be found in IMG under Settings for Subscription Master Data and Settings for Subscription Transactions

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Important Hints



SAP Help

- https://help.sap.com/viewer/ Search Term S4CRM,
- https://help.sap.com/viewer/ Product SAP S/4HANA for Customer Management Version 2.0
- Product Assistance -> Subscription

Application Component

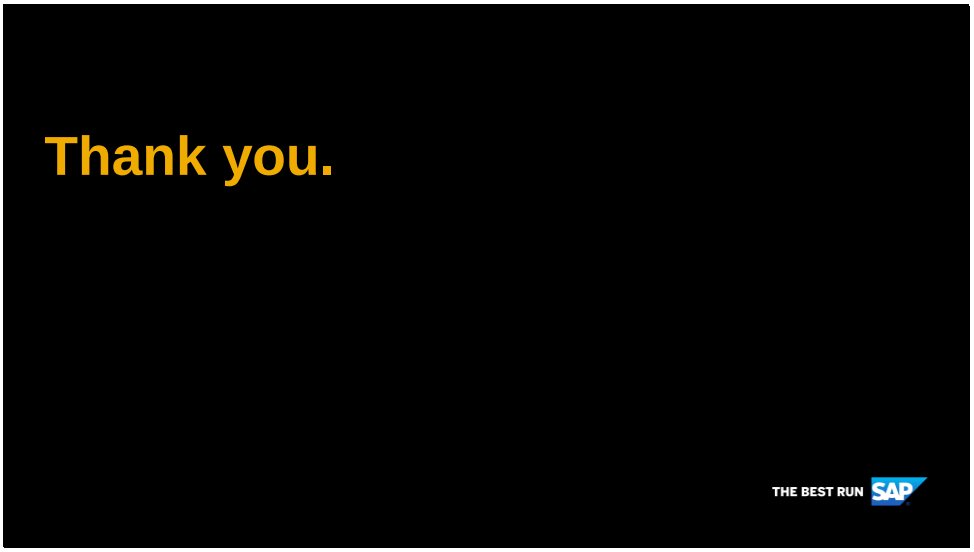
- CRM-S4-SOM

First Version available from Release

- SAP S/4HANA for Customer Management Version 2.0 FSP01 with S/4HANA1809

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